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AEP

PROJECT FINANCE

IBRD AND ITS DEVELOPMENT PROJECT FINANCING ACTIVITIES IN VIETNAM

GROUP 6 : ***Đặng Việt Hoàng - 11232291***

Trần Lan Quyên - 11232506

Đào Bảo Bình - 11230612

Nguyễn Anh Đức - 11232399

Lê Thị Yến Nhi - 11233123

Class : ***Investment Economics 65***

Lecturer : **Cô Vân (quên mất tên cô r…)**

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TABLE OF CONTENTS

INTRODUCTION..... 4
1 Rationale for the Research..... 4
1.1 The role of multilateral development finance for developing economies..... 4
1.2 Why the IBRD matters for Vietnam after its shift from concessional IDA lending to IBRD lending..... 4
2. Research Problem and Questions..... 5
3. Research Objectives..... 6
3.1. To analyze the mechanisms of IBRD involvement in project financing..... 6
3.2. To evaluate practical implementations through selected case studies in Vietnam..... 6
4. Research Methodology..... 7
CHAPTER 1: OVERVIEW OF THE IBRD..... 10
1.1. What is the IBRD?..... 10
1.1.1. Definition, mission, and eligible borrowers..... 10
1.1.2. Position within the World Bank Group; distinguishing IBRD, IDA, IFC, MIGA, and ICSID..... 10
1.2. History and development..... 12
1.3. Organizational structure..... 13
1.3.1. Board of Governors, Board of Executive Directors, President..... 13
1.3.2. Voting power based on shareholding and membership..... 14
1.4. Financing instruments and loan conditions..... 16
1.4.1. Three main instruments: Investment Project Financing (IPF), Development Policy Financing (DPF) and Program-for-Results (PforR)..... 16
1.4.2. Loan terms: interest rates, maturities and fees..... 17
1.4.3. Safeguard and procurement requirements (Environmental and Social Framework)..... 19
CHAPTER 2. HOW THE IBRD SUPPORTS PROJECT FINANCING..... 21
2.1. Financial support..... 21
2.1.1. The project cycle: identification, preparation, appraisal, negotiation, approval, implementation and evaluation..... 21
2.1.2. Disbursement mechanisms and counterpart funding requirements..... 22
2.1.3. How each instrument works in practice: IPF (structure and disbursement), DPF (promoting policy reforms), PforR (linking funding to results)..... 23
2.2. Technical support..... 24
2.2.1. Project preparation and feasibility studies..... 24
2.2.2. Analytical and Advisory Services (ASA) for policy formulation..... 25
2.2.3. Monitoring and evaluation (M&E) frameworks..... 26

2.3. Training and Capacity Building..... 26
2.3.1. Human resource development for project management units (PMUs)... 27
2.3.2. Knowledge transfer in procurement and environmental safeguards..... 27
2.3.3. Strengthening institutional governance in beneficiary sectors..... 28
2.4. Overall assessment..... 29
CHAPTER 3. THE IBRD AND SELECTED PROJECTS IN VIETNAM.....31
3.1. Context of Vietnam-World Bank Relations.....31
3.1.1. Resumption of the partnership in 1993.....31
3.1.2. IDA graduation in July 2017 and the transition to IBRD lending.....31
3.1.3. Comparison with a late IDA-financed project: SAHEP (2017)..... 32
3.1.4. Legal framework governing ODA and concessional external loans..... 33
3.2. Case study 1: Transmission Efficiency Project (TEP), energy sector.....35
3.2.1. Project overview.....35
3.2.2. Project components and financial structure.....36
3.2.3. Project implementation: technical support and capacity building.....39
3.2.4. Results and project outcomes..... 41
3.2.5. Implementation challenges and financing limitations..... 44
3.2.6. Overall assessment of the TEP case..... 46
3.3. Case study 2: Coastal Cities Sustainable Environment Project (CCSEP), urban and environment sector..... 47
3.3.1. Project overview.....47
3.3.2. Project components and financial structure.....49
3.3.3. Project implementation.....54
3.3.4. Results and challenges.....57
3.4.1. Achievements: financial mobilization, higher technical and management standards..... 59
3.4.2. Limitations: slow disbursement, procedural complexity, counterpart funding, gaps between WB safeguards and domestic regulations.....60
3.4.3. Recommendations for Vietnam..... 60
CONCLUSION..... 62
REFERENCES.....64

INTRODUCTION

1 Rationale for the Research

1.1 The role of multilateral development finance for developing economies

For developing economies, the need for long-term investment in infrastructure, energy, health, and education far exceeds what domestic resources can provide. Savings are limited, and tax bases are narrow. Borrowing on international markets often comes at a high cost or with short maturities, if it is available at all. This is where multilateral development banks (MDBs) step in. Backed by member-state capital and strong credit ratings, they can raise funds cheaply in global markets and pass those advantages on to borrowing countries through longer maturities and lower interest rates.

MDBs' most direct contribution is stable, long-term capital, which suits infrastructure projects that may take decades to pay back. This stability matters most in times of crisis. During the 2008 financial crisis and the COVID-19 pandemic, private capital withdrew, while MDBs expanded their lending to keep essential investment going. Beyond their own funds, MDBs also play a catalytic role. By co-financing, offering guarantees and sharing risk, they make projects more attractive to commercial banks and private investors who might otherwise hold back.

Their value also goes beyond finance. Through project appraisal, technical assistance, and international standards on procurement and safeguards, MDBs help raise project quality and build the capacity of borrowing governments. Their multilateral nature also allows them to coordinate action on shared challenges such as climate change and regional connectivity.

1.2 Why the IBRD matters for Vietnam after its shift from concessional IDA lending to IBRD lending

For many years, Vietnam relied on IDA, the World Bank's window for low-income countries, which offers loans with very low interest rates and long

repayment periods. As the economy grew, this changed. The Bank declared Vietnam IBRD-eligible in 2007, and the first IBRD loan, a US$500 million Public Investment Reform loan, was approved in December 2009 [1; 2]. Vietnam then graduated from IDA in July 2017 and no longer receives regular IDA credits. From 2018, it could borrow only from the IBRD and through non-concessional IDA terms, both at higher interest rates, with transitional support during the IDA18 period (FY18–20) [3]. In July 2026, the World Bank reclassified Vietnam as an upper-middle-income economy [4].

This shift makes the IBRD Vietnam's main source of World Bank financing. IBRD loans are more expensive than IDA credits, but they are still cheaper and longer-term than most commercial loans. That matters because Vietnam's investment needs keep growing. According to the World Bank, official financing alone will not be enough to meet these needs, so Vietnam will also have to borrow on capital markets and pay more to do so [3]. In this setting, the IBRD offers a middle path: funding on reasonable terms for large, long-term projects that the market may not support on its own.

Higher borrowing costs also mean Vietnam must choose and manage projects more carefully. After graduation, the Government asked the Ministry of Planning and Investment to report on how to mobilize loans in the future, especially non-concessional loans. The IBRD can help here. Beyond money, it brings project appraisal, technical advice and international standards, which help Vietnam use each loan more effectively.

For these reasons, understanding how the IBRD works, including its lending terms, procedures and priorities, is important for Vietnam as it moves into a new stage of development finance.

2. Research Problem and Questions

Since graduating from IDA, Vietnam has relied more on the IBRD for World Bank financing. However, IBRD loans come with different terms and procedures from

the concessional credits Vietnam was used to. A clear understanding of the IBRD is therefore needed for Vietnam to use this source of finance effectively.

The paper addresses four research questions:

1. What is the IBRD, and how was it formed and developed?
2. How is the IBRD organized and funded, and on what terms does it lend?
3. How does the IBRD support project financing through financial, technical and training assistance?
4. What results and limitations have selected IBRD-supported projects in Vietnam shown, and what lessons follow for Vietnam?

3. Research Objectives

3.1. To analyze the mechanisms of IBRD involvement in project financing

The first objective is to examine how the IBRD takes part in financing projects, from raising funds to supporting projects on the ground. On the funding side, the study looks at how the IBRD mobilizes capital through its member countries' contributions and through bond issues on international markets, and how this allows it to lend at favorable terms. On the lending side, it reviews the main instruments the IBRD uses, such as investment project financing, development policy financing, program-for-results, and guarantees, and explains when each is applied.

The study also follows the IBRD project cycle, which includes identification, preparation, appraisal, negotiation and approval, implementation and supervision, and completion and evaluation. This helps show how the IBRD shares responsibilities with the borrowing government at each stage, and how it works with co-financiers and private investors to mobilize additional capital. Through this analysis, the study aims to clarify not only what the IBRD finances but also how its involvement shapes the quality and outcomes of projects.

3.2. To evaluate practical implementations through selected case studies in Vietnam

The second objective is to see how the IBRD's mechanisms work in practice in Vietnam. The study focuses on the Transmission Efficiency Project (2015-2021), a

completed project fully financed by an IBRD loan, with clear results and official evaluation reports. Recent IBRD projects approved after IDA graduation, such as those in Binh Duong and the southern waterway network, are mentioned only as context, since their results are not yet available.

The case is evaluated based on four criteria: relevance to Vietnam's development needs, effectiveness in reaching project goals, efficiency in using resources, and sustainability of results. The study also looks at the difficulties that arose during implementation and how they were handled. Through this, the study aims to show what IBRD financing can bring to Vietnam in its new stage of borrowing after IDA, and to draw lessons for future IBRD projects.

4. Research Methodology

This study uses a qualitative approach that combines a literature review with case study analysis. It relies mainly on secondary data from official and publicly available sources.

The literature review builds the theoretical and institutional background for the study. Its main sources are World Bank websites and reports, including the IBRD's descriptions of its financial products, Country Partnership Frameworks for Vietnam, project appraisal documents, and implementation completion reports. These are supported by documents from the Government of Vietnam, the Ministry of Finance, and the Ministry of Planning and Investment, which merged into the Ministry of Finance in 2025. These documents include legal regulations on ODA and concessional loans and reports on the use of foreign loans. Together, these sources help explain how the IBRD works and how Vietnam manages IBRD loans.

The case study analysis focuses on the Transmission Efficiency Project. The study compares the project's planned targets with its actual results, using the four criteria set out in Section 3.2: relevance, effectiveness, efficiency and sustainability. To reduce bias, data from the World Bank's own reports are checked against the

Independent Evaluation Group's assessment and against information from Vietnamese government sources.

The study has some limitations. Because it relies on secondary data, it cannot verify results through field surveys or interviews. In addition, some information depends on reports prepared by the World Bank itself. These limits are reduced by using several independent sources and by clearly stating where each piece of data comes from.

5. Research scope

Research subject. The study focuses on the IBRD and its involvement in project financing. Other members of the World Bank Group, such as IDA, IFC, and MIGA, are mentioned only for comparison or when they are needed to explain the IBRD's role.

Content scope. The study covers the IBRD's formation and development, its funding sources, its main lending instruments, its project cycle, and its financial, technical, and training support. It does not go into detailed technical aspects such as loan pricing formulas or the IBRD's internal risk models.

Spatial scope. The study focuses on Vietnam. International examples are used only when they help explain how the IBRD works in general.

Time scope. The study covers the period from 2014 to the present. This period includes Vietnam's transition from IDA to IBRD lending, with special attention to the years after 2017, when Vietnam graduated from IDA and IBRD loans became its main source of World Bank financing.

6. Structure of the paper

Apart from the Introduction, Conclusion and References, the paper consists of three chapters:

- Chapter 1: Overview of the IBRD
- Chapter 2: How the IBRD supports project financing

- Chapter 3: Case Studies of IBRD in Vietnam

CHAPTER 1: OVERVIEW OF THE IBRD

1.1. What is the IBRD?

1.1.1. Definition, mission, and eligible borrowers

The International Bank for Reconstruction and Development (IBRD) is a global development cooperative owned by 189 member countries. It is one of the five institutions of the World Bank Group and, together with IDA, forms what is commonly called the World Bank [7]. Although it is called a bank, the IBRD does not aim to maximize profit like a commercial bank. Instead, it raises funds on international capital markets and lends them to member countries for development purposes. Its role goes beyond lending: it provides loans, guarantees, risk management products and advisory services, and it also coordinates responses to regional and global challenges.

The IBRD shares the World Bank Group's mission, which is to end extreme poverty and boost shared prosperity on a livable planet. Job creation is now seen as central to this mission and as a key driver of sustainable development. In practice, this means the IBRD supports projects and reforms that help countries grow in a sustainable and inclusive way.

The IBRD's main borrowers are middle-income countries. It also lends to creditworthy poorer countries that are also eligible for IDA support, often through a mix of IBRD and IDA funding. Borrowers are usually national governments, but the IBRD can also lend to public enterprises or local authorities, provided that the national government guarantees the loan. A country's eligibility depends mainly on its income level and its creditworthiness. As a country grows richer, it moves from IDA to IBRD lending, as Vietnam did after 2017.

1.1.2. Position within the World Bank Group; distinguishing IBRD, IDA, IFC, MIGA, and ICSID

The World Bank Group consists of five institutions. Each has its own role, but they work together toward the same goal. The IBRD is the oldest member of the Group, founded in 1944, and it is also the largest development bank in the world. Together with IDA, it forms the World Bank in the narrow sense. The IBRD aims to

reduce poverty in middle-income and creditworthy poorer countries, while IDA focuses on the world's poorest countries. The other three institutions support this work: IFC and MIGA focus on the private sector, while ICSID deals with investment disputes. The main differences among the five institutions are summarized in Table 1.

Table 1. The five institutions of the World Bank Group

Institution	Year founded	Main clients	Main activities	Source of funds
IBRD	1944	Governments of middle-income and creditworthy poorer countries	Loans, guarantees, risk management, advisory services	Bonds on international capital markets, member capital
IDA	1960	Governments of the poorest countries	Grants and very low-interest or interest-free loans	Contributions from donor countries
IFC	1956	Private enterprises in developing countries	Loans, equity investment, advisory services	Own capital and market borrowing
MIGA	1988	Foreign investors and lenders	Insurance against political risks such as war or expropriation	Member capital and premiums
ICSID	1966	Governments and foreign investors	Settling investment disputes through arbitration and conciliation	Contributions from the World Bank and fees

Source: Authors' compilation from [7] and [8].

The key difference between the IBRD and IDA lies in the type of borrower and the cost of funds. IBRD loans carry market-based interest rates, while IDA offers much cheaper terms because it is funded by donors. The IBRD and IFC differ mainly in their clients. The IBRD lends to governments or to entities guaranteed by governments, while IFC invests directly in private companies without a government guarantee. MIGA and ICSID do not provide finance directly. Instead, they reduce

risks for investors and help settle disputes, which makes the investment climate more attractive.

In this structure, the IBRD acts as the main channel for public financing to middle-income countries. This is why it is especially important for Vietnam today.

1.2. History and development

The history of the IBRD can be divided into four main stages, each reflecting changes in the global economy and in the needs of member countries.

Founding and post-war reconstruction (1944–1950s). The IBRD was created at the Bretton Woods Conference in July 1944, together with the International Monetary Fund, as part of the effort to rebuild the world economy after the Second World War. It began operations in 1946. Its first loan, worth US$250 million, went to France in 1947 to support reconstruction [9]. In the same year, the IBRD issued its first bonds on the US market, laying the foundation for its funding model. However, when the United States launched the Marshall Plan in 1948, much of Europe's reconstruction was financed through that program. This led the IBRD to turn its attention to developing countries [8].

Shift to development and expansion (1950s–1970s). In this period, the IBRD mainly financed large infrastructure projects such as power plants, roads, railways and irrigation systems in Asia, Africa and Latin America. As its work grew, new institutions were created to meet different needs: IFC in 1956 to support the private sector, and IDA in 1960 to serve the poorest countries. This allowed the IBRD to focus on middle-income economies. From the late 1960s, under President Robert McNamara, the IBRD placed greater emphasis on poverty reduction, rural development, education and health, and its lending grew rapidly [8].

Crisis and reform (1980s–1990s). The debt crisis of the 1980s hit many developing countries hard. In response, the IBRD introduced structural adjustment lending, which provided funds in exchange for economic reforms such as reducing budget deficits and opening markets. These programs helped some countries stabilize

but were also criticized for their social costs. In the 1990s, the IBRD paid more attention to governance, anti-corruption, the environment and social safeguards.

The 21st century (2000–present). The IBRD aligned its work with global development goals and played a counter-cyclical role during crises, sharply increasing lending during the 2008 global financial crisis and the COVID-19 pandemic. In 2013, the World Bank Group adopted two goals: ending extreme poverty and boosting shared prosperity. More recently, through its reform process, the IBRD has expanded its mission to address global challenges such as climate change. Today, its mission is to end extreme poverty and boost shared prosperity on a livable planet, with job creation at its center [8].

After more than 80 years, the IBRD has changed from a reconstruction bank for Europe into a global development institution. Its funding model of borrowing on capital markets and lending to member countries has stayed the same, while its focus has steadily widened to meet new development needs.

1.3. Organizational structure

1.3.1. Board of Governors, Board of Executive Directors, President

Board of Governors. The Board of Governors is the highest decision-making body of the IBRD. Each member country appoints one Governor and one Alternate Governor, usually the minister of finance or the governor of the central bank. The Board meets once a year at the Annual Meetings of the World Bank Group and the IMF. It keeps the power to make the most important decisions, such as admitting new members, increasing or reducing capital, and approving the annual financial statements. Because it meets only once a year, it delegates most of its day-to-day powers to the Board of Executive Directors.

Board of Executive Directors. The Board of Executive Directors is made up of the President and 25 Executive Directors. It works at the IBRD's headquarters in Washington, D.C., and meets several times a week. The Board approves loans, guarantees and the annual budget, sets operational policies and reviews country strategies. A few large shareholders appoint their own Executive Director, while most

member countries are grouped into constituencies that elect one Executive Director to represent them. Decisions are usually made by consensus, but formal votes are weighted by each country's shareholding.

President. The President chairs the Board of Executive Directors and leads the entire World Bank Group. The President is selected by the Executive Directors for a five-year term, which can be renewed. The President does not vote except to break a tie. The President is responsible for managing staff and daily operations, and also proposes loans and policies to the Board for approval. The current President is Ajay Banga, who began his term on 2 June 2023 [10].

In short, the Board of Governors sets the overall direction, the Board of Executive Directors turns it into policies and approves operations, and the President carries them out. This division of roles helps balance the interests of member countries with the need for efficient management.

1.3.2. Voting power based on shareholding and membership

To become a member of the IBRD, a country must first be a member of the International Monetary Fund. It must then subscribe to shares of the IBRD's capital. The number of shares a country receives depends mainly on the size of its economy. Only a small part of this capital is actually paid in. The larger part is callable capital, which the IBRD can ask members to pay only if it cannot meet its own debt obligations. This callable capital acts as a guarantee that supports the IBRD's strong credit rating.

Voting power in the IBRD follows the principle of one share, one vote, rather than one country, one vote as in the United Nations. Each member's votes consist of two parts. The first part is basic votes, which are shared equally among all members to give smaller countries a minimum voice. The second part is share votes, with one vote for each share held. As a result, countries that contribute more capital have more influence over decisions.

This system gives the largest shareholders considerable power. The United States holds the largest share of votes, at around 15–16 percent, followed by Japan,

China, Germany, France and the United Kingdom. Because some major decisions, such as amending the Articles of Agreement, require an 85 percent majority, the United States effectively has a veto over them. To make the system fairer, the IBRD carried out voting reforms in 2008–2010 and later capital increases. These raised basic votes and shifted more voting power to developing and transition countries.

Vietnam's voting power remains small. As of April 2026, Vietnam held 0.21 percent of IBRD votes [11]. In practice, Vietnam takes part in decisions through the constituency it belongs to, which shares one Executive Director on the Board. This means Vietnam's influence depends partly on cooperation with other members of its group.

1.3.3. Source of funds: paid-in capital and bond issuance on capital markets

The IBRD funds its lending mainly from two sources: capital from its member countries and money raised by issuing bonds on international capital markets. In addition, loan repayments and the IBRD's own earnings provide further resources.

Paid-in capital. When a country joins the IBRD, it subscribes to a certain number of shares. Only a small part of this subscribed capital is actually paid in cash. The rest is callable capital, which members promise to pay only if the IBRD cannot meet its obligations to bondholders. This call has never been made in the IBRD's history. Paid-in capital, together with retained earnings, forms the IBRD's equity. This equity acts as a cushion against losses and determines how much the IBRD can safely lend. When demand for lending grows, member countries can agree to a capital increase, as they did in 2018 [12].

Bond issuance. The largest source of funds comes from borrowing on international capital markets. The IBRD acts as a financial intermediary: it raises funds from global markets and lends them to its member countries. It issues bonds in many currencies and sells them to investors such as central banks, pension funds and insurance companies around the world. Because of its strong capital base, its callable capital and its careful financial management, the IBRD has held the highest credit rating (AAA) for decades. This allows it to borrow at very low interest rates and pass these savings on to borrowers through loans with long maturities and reasonable costs.

In recent years, the IBRD has also issued sustainable development bonds and green bonds, linking investors' money to social and environmental goals [13].

Other sources. Loan repayments are recycled into new loans, and the IBRD's net income from lending and investments helps strengthen its capital. More recently, the IBRD has also tried new tools, such as hybrid capital and guarantees from shareholders, to increase its lending capacity without large capital increases.

This funding model is the main difference between the IBRD and IDA. IDA depends on regular donations from rich countries, while the IBRD can fund itself through the market. As a result, the IBRD can lend on a large scale at low cost, but its loans are more expensive than IDA credits.

1.4. Financing instruments and loan conditions

The IBRD lends through three instruments, each defined by what it finances and what triggers disbursement. A single loan product, the IBRD Flexible Loan, sets the price and repayment terms. Environmental, social and procurement rules then govern how the money may be spent.

1.4.1. Three main instruments: Investment Project Financing (IPF), Development Policy Financing (DPF) and Program-for-Results (PforR)

Investment Project Financing (IPF) is the IBRD's traditional instrument. It finances a ring-fenced set of project activities, such as civil works, equipment and consulting services. Money is disbursed as the borrower incurs eligible project expenditures [14]. IPF suits physical infrastructure with a clear scope and timetable. Both case studies in Chapter 3, TEP and CCSEP, were financed through IPF.

Development Policy Financing (DPF) supports a set of policy and institutional reforms rather than a project. The borrower must complete agreed "prior actions" before the Board approves the loan. Funds then go to the general budget and are not traced to specific expenditures [14]. Vietnam's first IBRD loan was a DPF operation: a US$500 million Public Investment Reform loan approved in December 2009 and signed on 30 December 2009 [2].

Program-for-Results (PforR) was introduced in 2012. It was only the third financing instrument approved by the Bank's Board since 1944 [15]. PforR supports a government's own program and uses the country's own systems. Disbursement depends on the verified achievement of Disbursement-Linked Indicators (DLIs), not on individual expenditures [14].

Table 2. The IBRD's three lending instruments

Instrument	What it finances	Disbursed against	Best suited to
Investment Project Financing (IPF)	Ring-fenced project activities: works, goods, consulting services	Eligible expenditures actually incurred	Infrastructure and other projects with a defined scope
Development Policy Financing (DPF)	A program of policy and institutional actions	Completion of agreed prior actions	Sector or economy-wide reforms; budget support
Program-for-Results (PforR)	Part of a government's own expenditure program	Verified achievement of Disbursement-Linked Indicators	Programs where results can be measured and verified

Source: Authors' compilation from Wes (2023) and Gelb et al. (2016).

The key difference lies in what the IBRD "buys" with each loan. Under IPF, it pays for inputs; under DPF, for reforms; under PforR, for results. This choice shapes the borrower's obligations, which Section 2.1.3 examines in practice.

1.4.2. Loan terms: interest rates, maturities and fees

The IBRD Flexible Loan (IFL) is the Bank's leading loan product for public-sector borrowers in middle-income countries [16]. Its cost reflects the IBRD's AAA credit rating and has three parts: an interest rate, a front-end fee and a commitment fee [16].

The interest rate equals a market reference rate plus a spread. The reference rate was LIBOR until its phase-out; US dollar loans now use the Secured Overnight Financing Rate (SOFR). The spread combines a contractual lending spread and a

maturity premium. The premium rises with the loan's average maturity and depends on the borrower's pricing group, set by income level [17]. The IBRD suspended its fixed-spread option in 2021, so new loans carry a variable spread [17].

Maturities are long by market standards. In 2014, the maximum final maturity of a standard IFL was extended from 30 to 35 years, and the maximum average maturity from 18 to 20 years [18]. For some projects, the final maturity can now reach 50 years [19]. In October 2024, the IBRD added a Short Maturity Loan with a 7-year final maturity and a 20-basis-point discount on the spread [20].

Table 3. Main terms of the IBRD Flexible Loan

Term	Current setting	Source
Interest rate	Reference rate (SOFR for USD) + variable spread	World Bank Treasury (2020)
Final maturity	Up to 35 years; up to 50 years for some projects	World Bank (2014b); IBRD (2025)
Average maturity	Up to 20 years	World Bank (2014b)
Short Maturity Loan	7-year final maturity, 20 bps spread discount	World Bank Treasury (n.d.-b)
Front-end fee	0.25% of the committed amount, charged once	World Bank Treasury (n.d.-a)
Commitment fee	0.25% a year on the undisbursed balance, from 60 days after signing	World Bank Treasury (n.d.-a)

Note: Terms are reviewed annually and may change; figures are as at October 2026.

Within these limits, the borrower chooses the currency, the grace period and the repayment schedule. TEP, for example, had a 26-year maturity with a 10-year grace period [21]. CCSEP's IBRD loan had a 29-year maturity with a 10-year grace period, while its IDA credit carried 25 years with a 5-year grace period (see Section 3.3.2).

The commitment fee has a practical consequence. Because it is charged on undisbursed balances, slow disbursement raises the effective cost of the loan. This links loan terms directly to the implementation problems discussed in Chapter 3.

1.4.3. Safeguard and procurement requirements (Environmental and Social Framework)

IBRD financing comes with rules on environmental and social risks and on procurement. These rules apply mainly to IPF; DPF and PforR operations follow their own assessment procedures.

The Environmental and Social Framework (ESF) was approved by the Board on 4 August 2016. It applies to all IPF projects initiated on or after 1 October 2018 [22]. Earlier projects continue under the older Safeguard Policies, such as OP 4.12 on involuntary resettlement. The two systems are expected to run in parallel for about seven years [23]. This is why TEP and CCSEP, both prepared before 2018, followed the Safeguard Policies.

The ESF shifts more responsibility to the borrower. It sets out ten Environmental and Social Standards (ESSs) that borrowers must meet throughout the project [22]:

1. ESS1: Assessment and Management of Environmental and Social Risks and Impacts
2. ESS2: Labor and Working Conditions
3. ESS3: Resource Efficiency and Pollution Prevention and Management
4. ESS4: Community Health and Safety
5. ESS5: Land Acquisition, Restrictions on Land Use and Involuntary Resettlement
6. ESS6: Biodiversity Conservation and Sustainable Management of Living Natural Resources
7. ESS7: Indigenous Peoples
8. ESS8: Cultural Heritage
9. ESS9: Financial Intermediaries
10. ESS10: Stakeholder Engagement and Information Disclosure

Procurement follows a separate framework. The Procurement Framework applies to projects with a concept note on or after 1 July 2016 [24]. It replaced the

earlier Procurement Guidelines and allows procurement approaches tailored to each project. Each new project prepares a Project Procurement Strategy for Development (PPSD), as CCSEP did. TEP, approved in 2014, still followed the earlier guidelines.

These requirements are often stricter than domestic rules, especially on land compensation and resettlement. Where the two systems differ, projects face delays or, as in Nha Trang, the loss of financing (see Section 3.3.4).

CHAPTER 2. HOW THE IBRD SUPPORTS PROJECT FINANCING

2.1. Financial support

Financial support is the IBRD's core activity, but money reaches a project only through a fixed sequence of steps. This section follows that sequence: the project cycle, the way funds are paid out, and how each instrument works in practice.

2.1.1. The project cycle: identification, preparation, appraisal, negotiation, approval, implementation and evaluation

Every IBRD operation passes through a six-stage project cycle [25]. The Bank and the borrower work closely at each stage, but their roles differ. The borrower owns and implements the project; the Bank advises, appraises, finances and supervises.

Table 4. Stages of the World Bank project cycle

Stage	Main activities	Lead role	Key document
1. Identification	Bank and government agree on a project concept consistent with the Country Partnership Framework	Borrower and Bank	Project Concept Note, Project Information Document
2. Preparation	Feasibility studies, technical design, environmental and social instruments, procurement plan	Borrower, with Bank advice	Feasibility study, ESIA, resettlement plan
3. Appraisal	Bank reviews technical, economic, financial, institutional and E&S aspects	Bank	Project Appraisal Document (PAD)
4. Negotiation and Board approval	Legal agreements negotiated; Board of Executive Directors approves; loan signed and declared effective	Borrower and Bank	Loan Agreement

Stage	Main activities	Lead role	Key document
5. Implementation and supervision	Borrower carries out the project; Bank supervises and may restructure	Borrower; Bank supervises	Implementation Status and Results Report (ISR)
6. Completion and evaluation	Results assessed; lessons recorded; independent validation	Bank, then IEG	Implementation Completion and Results Report (ICR)

Source: Authors' compilation from [25].

The cycle does not end with approval. During implementation, a project can be restructured when its scope, costs or timing change. TEP was restructured in 2019 and extended by two years. CCSEP was restructured in 2022, when about US$45.6 million of loan funds were cancelled (see Sections 3.2.5 and 3.3.2).

In Vietnam, each stage also runs alongside domestic procedures: approval of the project proposal, the investment decision, the allocation of counterpart funds and, for local projects, on-lending agreements (see Section 3.1.4). Delays often arise at the joint between the two systems. CCSEP, for example, became effective about five and a half months later than planned (see Section 3.3.3).

2.1.2. Disbursement mechanisms and counterpart funding requirements

Once a loan is effective, the IBRD releases funds through four disbursement methods, set out in each project's disbursement letter [26; 27].

Table 5. IBRD disbursement methods for investment projects

Method	How it works	Typical use
Advance	Bank deposits funds in a borrower's designated account; the borrower pays eligible expenses and documents them later	Many small and recurring payments
Reimbursement	Borrower pays first from its own funds; the Bank then refunds eligible expenditures	Expenses the borrower can pre-finance

Method	How it works	Typical use
Direct payment	Bank pays a supplier, contractor or consultant directly at the borrower's request	Large contract payments
Special commitment	Bank commits to pay a third party under a letter of credit opened by a commercial bank	Imported goods and equipment

Source: Authors' compilation from [26;27].

Each withdrawal must be supported by documents such as statements of expenditure or interim financial reports. The Bank also sets a minimum value for applications and a disbursement deadline, usually four months after the closing date [26]. CCSEP used all four methods, with a designated account for each province (see Section 3.3.2).

The IBRD rarely finances the whole project. The borrower contributes counterpart funding, which typically covers costs the Bank does not finance. In CCSEP, counterpart funds paid for land compensation, resettlement, project staff salaries, operating costs and training (see Section 3.3.2). In TEP, NPT provided US$231.25 million of the planned US$731.25 million [21].

Counterpart funding is often the binding constraint on disbursement. In CCSEP, provincial budget allocations began only in July 2019, so there was no disbursement in 2017 and 2018 (see Section 3.3.3). In such cases, IBRD money is available but cannot be used. Where loans are on-lent to provinces, local governments also take on real debt obligations, which adds to their caution.

2.1.3. How each instrument works in practice: IPF (structure and disbursement), DPF (promoting policy reforms), PforR (linking funding to results)

Investment Project Financing is organized around components, a results framework and an implementing agency. Each component has its own budget and financing source, and disbursement follows the progress of contracts. TEP illustrates the model: three components, implemented by NPT's regional project management boards, with IBRD funds paid against works and equipment (see Section 3.2.2).

Because disbursement tracks physical progress, delays in land clearance or bidding slow the flow of funds directly.

Development Policy Financing works through a policy matrix. The government completes prior actions, such as issuing a decree or adopting a new procedure, and the loan is then released to the budget. Vietnam's Public Investment Reform (PIR) series shows how this works. The first operation, a US$500 million IBRD loan, was approved in December 2009 as the first of two single-tranche operations [2]. The second, approved in May 2011, combined an IBRD loan of US$87.3 million with an IDA credit of US$262.7 million [28]. Its reforms aimed to strengthen the public investment cycle and the legal basis for public-private partnerships [29; 30]. A similar approach supported power-sector reform: in 2010, a DPF operation combined US$200 million from the IBRD with US$111.8 million from IDA [31].

Program-for-Results links money to measurable results. The borrower and the Bank agree on Disbursement-Linked Indicators, and funds are released only after an agreed agency verifies that each target is met. Because spending is not traced item by item, PforR relies on the country's own fiduciary and environmental systems, which are assessed beforehand. IEG has found that the choice of DLIs is critical: they must lead clearly to the program's development objective, and monitoring should not focus on DLIs alone [32].

The three instruments therefore answer different needs. IPF builds assets, DPF supports reforms, and PforR rewards the performance of existing programs. For Vietnam, which has mainly used IPF for infrastructure, the choice matters: a results-based design shifts more responsibility, and more risk, onto domestic agencies.

2.2. Technical support

Technical support is what distinguishes IBRD financing from a commercial loan. The Bank helps design the project before money is committed, advises on policy outside any single loan, and tracks results until well after completion.

2.2.1. Project preparation and feasibility studies

During preparation, the borrower designs the project with advice from a Bank task team that includes technical, financial, procurement and safeguard specialists. The team helps define the components and check the technical design. It also tests the project's economic and financial viability. For TEP, the appraisal estimated an economic internal rate of return (EIRR) of 31.4% (see Section 3.2.4). Such analysis gives the borrower an independent check before it takes on debt.

Preparation also produces the environmental and social instruments required by the Bank's policies. These include impact assessments, resettlement plans and stakeholder consultations. CCSEP, for instance, prepared an environmental and social impact assessment for each city and a resettlement policy framework for all four [33]. Where preparation itself is costly, the borrower can use a Project Preparation Advance, which is later refinanced from the loan [27].

The quality of preparation shapes everything that follows. IEG concluded that more thorough advance preparation and regulatory coordination on TEP's smart-grid component would have avoided the need to extend the project (see Section 3.2.3).

2.2.2. Analytical and Advisory Services (ASA) for policy formulation

Advisory Services and Analytics (ASA) are the Bank's non-lending activities that help clients advance a development objective. Their outputs include analytical reports, policy notes, hands-on advice and knowledge-sharing workshops [34]. ASA can inform a country's policies directly, or prepare the ground for later loans.

ASA is funded in three ways. In 2023, analytical and advisory disbursements totalled US$991 million: 26% from the Bank's administrative budget, 68% from donor trust funds and 6% from Reimbursable Advisory Services [35]. Under Reimbursable Advisory Services (RAS), a client requests and pays for the advice under a legal agreement [34]. RAS is offered mainly to middle- and high-income countries, which makes it increasingly relevant to Vietnam [36].

In Vietnam, analytical work has supported several of the reforms later financed by loans. The Public Investment Reform series, for example, rested on policy dialogue about the public investment cycle [2]. At project level, CCSEP drew on technical

assistance from PPIAF (US$350,000) and GIZ to support institutional reform under Decree No. 80/2014/ND-CP (see Section 3.3.3).

2.2.3. Monitoring and evaluation (M&E) frameworks

Every IBRD project is monitored against a results framework set at appraisal. The framework defines the project development objective (PDO), its outcome indicators, intermediate indicators, baselines and targets. CCSEP, for example, set three key outcome indicators: about 290,000 direct beneficiaries, 256,000 people with sewer connections, and 100% cost recovery (see Section 3.3.1).

M&E then works at three levels:

1. Supervision: the Bank prepares regular Implementation Status and Results Reports (ISRs), rating progress towards the PDO and implementation performance (World Bank, n.d.-c).
2. Completion: at closing, the Bank prepares an Implementation Completion and Results Report (ICR) comparing results with targets.
3. Independent evaluation: the Independent Evaluation Group (IEG) validates the ICR and, for selected projects, prepares a more detailed Project Performance Assessment Report (PPAR).

This system produces evidence that the borrower can use. TEP's PPAR rated the outcome highly satisfactory, Bank performance satisfactory and the quality of M&E substantial [37]. Ratings during implementation also act as an early warning. In 2022, CCSEP's likelihood of achieving its PDO was downgraded to moderately unsatisfactory, which led to restructuring (see Section 3.3.3).

M&E has limits. Many indicators, such as transmission losses, measure the whole system rather than the project alone. IEG therefore warned that some of TEP's improvements cannot be attributed to the project alone (see Section 3.2.4). For projects without a published ICR, such as CCSEP, the assessment must rely on interim reports.

2.3. Training and Capacity Building

Training and capacity building aim to leave the borrower able to manage similar investments without outside help. They work at three levels: the people in project units, the technical skills those people apply, and the institutions they work for.

2.3.1. Human resource development for project management units (PMUs)

In Vietnam, IBRD projects are run by project management units (PMUs) or boards attached to the implementing agency. TEP was implemented through NPT's northern, central and southern project management boards. CCSEP used one PMU in each province (see Sections 3.2.1 and 3.3.1).

The Bank supports these units with training in project management, financial management, procurement and safeguards. Much of this is delivered through the World Bank's Open Learning Campus, which offers self-paced and blended courses. Its project orientation courses, for example, cover Bank expectations, project and financial management, procurement, environmental and social risk management, and M&E [38].

Training is most effective when staff stay with the unit. CCSEP built on PMUs inherited from an earlier project, and the new PMU in Phan Rang drew 10 of its 12 staff from other ODA units (see Section 3.3.3). Even so, weak PMU capacity remained a main cause of delay, and the Bank recommended adding qualified staff after restructuring.

2.3.2. Knowledge transfer in procurement and environmental safeguards

Much of the knowledge transfer happens through doing. Borrower staff apply the Bank's procurement rules and safeguard policies on real contracts, while Bank specialists review key steps. Over time, this builds skills in bidding, contract management and risk assessment.

The Bank also runs dedicated programs. In 2014, it launched what it described as the world's first massive open online course (MOOC) on public procurement, with more than 540 certified learners [39]. E-procurement courses on the Open Learning Campus offer certification to participants who pass an examination [40].

TEP shows the cumulative effect. IEG found that NPT's regional boards had built capabilities in procurement, contract administration, financial management, safeguards and reporting, partly from earlier World Bank projects [37]. Safeguards proved harder to transfer. Nha Trang shows that knowing the Bank's resettlement standards is not enough when local compensation rules and land prices differ (see Section 3.3.4).

2.3.3. Strengthening institutional governance in beneficiary sectors

The third level targets institutions rather than individuals. Here, IBRD projects include components that change how a sector agency or utility is run.

Table 6. Institutional reform activities in the two case studies

Project	Reform activity	Position at the latest report
TEP	Asset management system for NPT	Fully operational; used for investment and maintenance decisions
TEP	Cost-reflective transmission tariff, IFRS reporting, testing laboratory	Carried out mainly with NPT/EVN funds
CCSEP	Public Service Management Units in each city	Established
CCSEP	Wastewater tariff roadmaps, household connection policies	Approved or issued; implementation varies by city
CCSEP	Performance-based service contracts	Largely not yet in use, except at the Nha Trang treatment plant

Source: Sections 3.2.3 and 3.3.3, based on World Bank (2022a, 2022b, 2022c, 2023).

Development Policy Financing pursues the same goal at national level. The Public Investment Reform series, for example, supported measures to strengthen how public investment projects are selected and implemented [2].

Institutional reform depends heavily on the borrower's own commitment. In TEP, US$5.50 million of the capacity-building component's US$5.74 million actual cost came from NPT, and only US$0.24 million from the IBRD (see Section 3.2.2). In CCSEP, the whole of Component 4 was financed by counterpart funds, and many

reforms stopped at the setup stage (see Section 3.3.3). The IBRD can design and advise on reform, but the borrower must fund and sustain it.

2.4. Overall assessment

The three forms of support are designed as one package: finance pays for the investment, technical support makes it sound, and training makes it last. Each covers a weakness of the others, and each appears at every stage of the project cycle.

Table 7. The three forms of IBRD support across the project cycle

Stage	Financial support	Technical support	Training and capacity building
Preparation and appraisal	Loan size, instrument and terms agreed; Project Preparation Advance if needed	Feasibility, economic analysis, safeguard instruments, results framework	Assessment of the implementing agency's capacity
Implementation	Disbursement against eligible expenditures or results	Supervision, ISRs, restructuring when needed	PMU training in procurement, financial management and safeguards
Completion and after	Loan repayment; savings cancelled	ICR and IEG evaluation; lessons for new projects	Systems and institutions left in place (e.g. TEP's asset management system)

Source: Authors' synthesis of Sections 2.1-2.3.

The forms reinforce one another in three ways. First, money gives weight to advice: a borrower is more likely to adopt the Bank's procurement and safeguard standards when they are conditions of a loan. Second, advice protects the money: appraisal and supervision reduce the risk that funds are wasted on a poorly designed project. Third, training protects the results: assets built with IBRD funds keep working only if local institutions can operate and maintain them.

The package, however, depends on the borrower. The evidence in Chapter 3 shows that the binding constraints usually lie on the domestic side: counterpart funding, land acquisition and PMU capacity. When these fail, IBRD money stays undisbursed, technical advice cannot be applied, and training stops at setup. The value of the IBRD therefore lies less in any single form of support than in their combination, and that combination works only when domestic systems are ready to absorb it. Chapter 3 tests this argument against two projects in Vietnam.

CHAPTER 3. THE IBRD AND SELECTED PROJECTS IN VIETNAM

3.1. Context of Vietnam-World Bank Relations

In the following analysis, monetary amounts are expressed in USD. Appraisal figures refer to planned financing, whereas amounts at project closing describe reported expenditure or disbursement. Distinguishing these measures is essential when assessing the IBRD contribution to project financing [44; 41; 37].

3.1.1. Resumption of the partnership in 1993

The present lending relationship between Vietnam and the World Bank took shape when the Bank resumed lending in October 1993, following the resolution of arrears and the re-establishment of external financial relations. Two IDA credits were approved that month: approximately USD 70 million for primary education and USD 158.5 million for highway rehabilitation. The Bank opened its resident office in Hanoi in 1994. This re-engagement coincided with the early institutional and market reforms introduced under Đổi Mới and signalled the return of large-scale multilateral financing for infrastructure and human development [45; 46].

During the following two decades, the World Bank's role extended beyond the provision of capital. IDA-financed operations supported physical infrastructure, education, poverty reduction and public-sector institutions, while policy analysis and project-level technical assistance helped public agencies manage complex investments. The historical distinction matters for this paper: "World Bank financing" is an umbrella description; the institutional source of a particular loan may be IDA or IBRD and must be identified from the project's appraisal and legal documentation rather than inferred from the World Bank name.

3.1.2. IDA graduation in July 2017 and the transition to IBRD lending

Vietnam graduated from regular IDA eligibility with effect from 1 July 2017. In operational terms, graduation marked a change in the expected composition and terms of new sovereign borrowing rather than an immediate termination of all IDA-related activity. The World Bank's 2019 Performance and Learning Review records transitional IDA18 support of SDR 1.593 billion (approximately USD 2.3

billion before a subsequent allocation reduction), alongside continuing access to IBRD financing [3]. Existing IDA-financed projects therefore continued into subsequent years.

The transition is relevant to project financing because IBRD lending is generally closer to market-based pricing than traditional IDA credits, making debt-service capacity, project selection, economic returns and fiscal risk more prominent considerations. Yet the transition did not establish IBRD as an entirely new lender to Vietnam. The Transmission Efficiency Project examined in Section 3.2 was approved for an IBRD loan on 7 August 2014, almost three years before IDA graduation. It therefore demonstrates that an IBRD-financed project could coexist with an active IDA portfolio before the formal graduation date [44; 41].

Graduation should consequently be described as a shift in lending mix and financing conditions rather than a simple substitution of every IDA project by an IBRD project. Differences between the two institutions are most meaningful when traced to actual financing agreements, counterpart obligations and project results, rather than broad labels such as "soft loan" or "commercial loan". The World Bank Group reclassified Vietnam as an upper-middle-income economy in July 2026, a country-income classification distinct from its 2017 IDA graduation [4].

3.1.3. Comparison with a late IDA-financed project: SAHEP (2017)

The Support for Autonomous Higher Education Project (SAHEP, P156849) provides a useful near-graduation comparison. Approved by the World Bank's Board on 15 May 2017, SAHEP was financed through an IDA credit of SDR 114.3 million, equivalent to USD 155 million at appraisal. Its total estimated project cost was USD 174.60 million, including USD 19.60 million of counterpart financing. The project sought to improve the research, teaching and institutional capacity of selected autonomous universities and strengthen national higher-education management [47].

SAHEP is illustrative of the late IDA pipeline, not evidence that IDA disbursements stopped in July 2017 or that SAHEP was necessarily the final IDA-approved project. Moreover, its education-sector outputs cannot be compared directly with the electrical network indicators of TEP. The comparison is institutional:

in 2017 an IDA credit was approved for university and governance investments, whereas TEP had already used an IBRD loan to support a large network-investment program in 2014.

Table 8. Selected project financing characteristics at appraisal: TEP and SAHEP

Indicator	Transmission Efficiency Project (TEP)	Support for Autonomous Higher Education Project (SAHEP)
World Bank project ID	P131558	P156849
Approval date	7 August 2014	15 May 2017
Financing institution	IBRD (loan 8417-VN)	IDA (credit 6036-VN)
World Bank financing (million USD)	500.00	155.00
Counterpart financing (million USD)	231.25	19.60
Total appraisal cost (million USD)	731.25	174.60
Primary sector	Electricity transmission	Higher education

Source: Authors' compilation from World Bank (2014, 2017), project appraisal documents.

3.1.4. Legal framework governing ODA and concessional external loans

Multilateral borrowing is implemented within two overlapping systems: Vietnamese public-investment and public-debt rules, and the World Bank requirements incorporated in the relevant financing agreement and project documentation. The domestic framework governs such matters as project approval, external-loan administration, on-lending and allocation of counterpart funds. The Bank framework addresses eligible expenditure, procurement, financial management, reporting, safeguards and supervision. A project can encounter implementation difficulties where the timing and documentation requirements of these systems do not align.

The legislation must be read as of the relevant period. At the time of TEP approval in 2014, the overarching ODA and concessional-loan decree was Decree No. 38/2013/ND-CP [48]. It was subsequently replaced by Decree No. 16/2016/ND-CP [49], and later by Decree No. 56/2020/ND-CP [50]. Decree No. 114/2021/ND-CP, as amended by Decree No. 20/2023/ND-CP, is useful for understanding an earlier phase of ODA administration but should not be presented as the current principal decree [51; 52].

As at October 2026, Decree No. 242/2025/ND-CP (effective 10 September 2025), as amended by Decree No. 119/2026/ND-CP (issued 3 April 2026), forms the principal current decree-level framework [53; 54]. The 2026 amendment contains transitional provisions, making the date at which a project proposal or investment decision was approved material to procedural treatment. Since TEP closed on 31 December 2021, this contemporary regime is contextual rather than a basis for retrospectively judging the project's 2014 legal compliance.

Table 9. Selected milestones in Vietnam's regulatory framework for ODA and concessional loans

Instrument	Effective date / period	Relevance for the analysis
Decree 38/2013/ND-CP	Issued 23 April 2013	Principal ODA framework at TEP approval in 2014
Decree 16/2016/ND-CP	Effective 2 May 2016	Replaced Decree 38/2013; historical implementation period
Decree 56/2020/ND-CP	Effective 25 May 2020	Replaced Decree 16/2016; pre-2021 ODA framework
Decree 114/2021/ND-CP and Decree 20/2023/ND-CP	2021-9 September 2025	Subsequent ODA framework; superseded
Decree 242/2025/ND-CP	Effective 10 September 2025	Current principal decree as at October 2026
Decree 119/2026/ND-CP	Issued 3 Apr 2026; effective 1 Jan 2026	Amends Decree 242/2025; includes transition rules

Source: Authors' compilation from Government of Viet Nam (2013, 2016, 2020, 2021, 2023, 2025, 2026).

The World Bank's environmental and social regime also changed over time. Its Environmental and Social Framework (ESF) applies to new investment project financing initiated on or after 1 October 2018 [22]. TEP, initiated before that date and classified as a Category B project, was governed by the earlier safeguard policies and related project instruments. Applying the later ESF standards retroactively to the 2014 operation would be methodologically incorrect [44].

This historical and regulatory context provides the basis for assessing the IBRD in practice. The first case concerns an energy-transmission investment approved before IDA graduation, allowing the analysis to distinguish the financing mechanism from the timing of Vietnam's transition to IBRD borrowing.

3.2. Case study 1: Transmission Efficiency Project (TEP), energy sector

3.2.1. Project overview

The Transmission Efficiency Project (TEP; P131558; IBRD loan 8417-VN) was approved on 7 August 2014 and became effective on 10 February 2015. The original closing date of 31 December 2019 was extended to 31 December 2021. Its formal development objective was to improve the capacity, efficiency and reliability of electricity transmission services in selected parts of Vietnam's network. TEP was financed using Investment Project Financing (IPF), rather than a development-policy or results-based lending instrument [44; 41; 37].

The Socialist Republic of Vietnam was the borrower. The National Power Transmission Corporation (NPT), a subsidiary of Vietnam Electricity (EVN), served as the responsible implementing entity, with implementation distributed across the northern, central and southern regional project management boards. The Ministry of Industry and Trade was responsible for sector policy and relevant technical approvals. The investment program covered 220-kV and 500-kV lines and substations in the greater Hanoi region, the greater Ho Chi Minh City and Mekong Delta areas, and central Vietnam [44; 37].

At appraisal, the overall project cost was estimated at USD 731.25 million, including a USD 500.00 million IBRD loan and USD 231.25 million in borrower resources. These amounts describe the planned financing envelope, not the amount drawn from IBRD or spent on physical works. The loan also included a USD 1.25 million front-end fee, so the figure for investment components alone must not be equated with the complete financing total [44; 41].

Table 10. TEP: basic project profile and implementation milestones

Item	Verified information
Project name / ID	Transmission Efficiency Project (TEP) / P131558
Loan number / instrument	IBRD loan 8417-VN / Investment Project Financing
Borrower / responsible agency	Socialist Republic of Viet Nam / NPT (EVN subsidiary)
Approval / effectiveness	7 August 2014 / 10 February 2015
Original / actual closing	31 December 2019 / 31 December 2021
Appraisal IBRD loan	USD 500.00 million
Appraisal borrower contribution	USD 231.25 million
Appraisal total project cost	USD 731.25 million
Actual total project cost at closing	USD 517.53 million

Source: Authors' compilation from World Bank (2014, Project Data Sheet), World Bank (2022a, pp. 1-3, 49), and World Bank (2023, pp. v-vi).

3.2.2. Project components and financial structure

TEP's first component financed construction, rehabilitation and upgrading of high-voltage transmission infrastructure. By increasing the power-transfer capacity of critical corridors and substations, these investments sought to ease load constraints, reduce system losses and improve reliability. Its second component financed the modernization of monitoring, control and protection equipment in selected substations through smart-grid technology. Such equipment was intended principally to improve operational information and fault management; the second component did not itself constitute the construction of additional transmission capacity [44; 42].

At appraisal, the infrastructure component accounted for USD 625.00 million of total project cost, compared with USD 80.00 million for smart-grid investments and

USD 25.00 million for capacity building. Actual closing costs were lower in each category. The component-level breakdown is particularly informative because it distinguishes the physical and digital assets created by the project from its smaller institutional reform agenda [41].

Table 11. TEP project cost by component at approval and at closing (million USD)

Project component	Amount at approval	Actual at closing	Actual / approval (%)
Enhancing Transmission Infrastructure	625.00	464.53	74.30
Developing Smart Grid Network	80.00	46.01	57.50
Capacity Building	25.00	5.74	22.96
Front-end fee	1.25	1.25	100.00
Total project cost	731.25	517.53	70.77

Source: World Bank (2022a, Annex 3, Table 3.1, p. 48). Figures transcribed from the original table; the fee row is labeled using the PAD (World Bank, 2014).

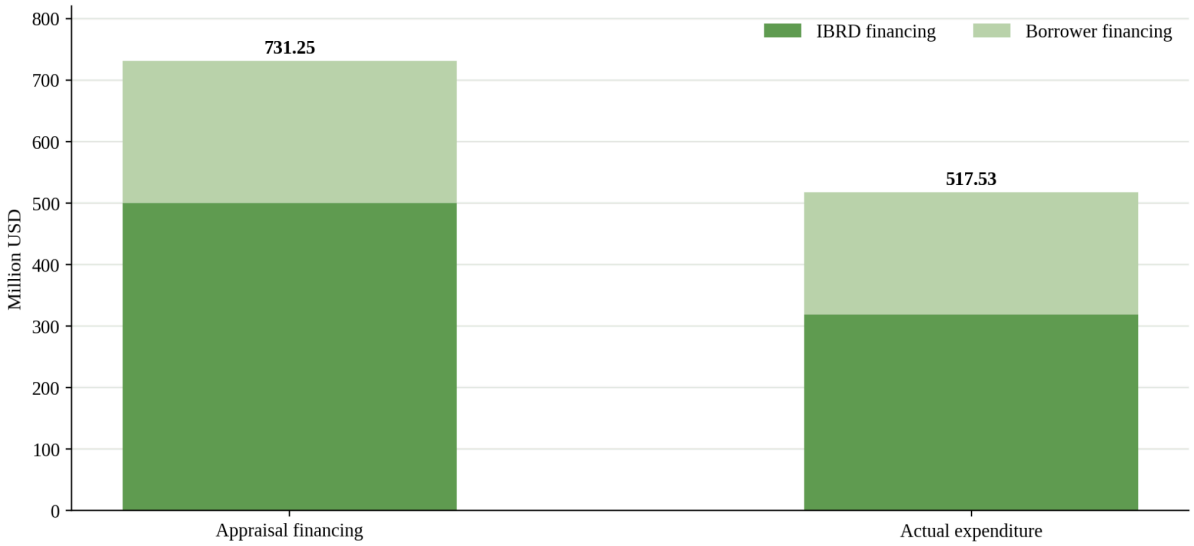
Table 11 reproduces the component cost figures published in the World Bank completion report. Table 12 then separates the IBRD contribution from the borrower-financed portion, providing the financial breakdown needed to assess the project's financing mechanism.

Table 12. TEP component financing by source: appraisal versus actual (million USD)

Component	Appraisal total	Actual total	Appraisal IBRD	Actual IBRD
1. Transmission infrastructure	625.00	464.53	429.45	289.03
2. Smart-grid network	80.00	46.01	55.00	28.01
3. Capacity building	25.00	5.74	14.30	0.24
Front-end fee	1.25	1.25	1.25	1.25
TOTAL	731.25	517.53	500.00	318.53

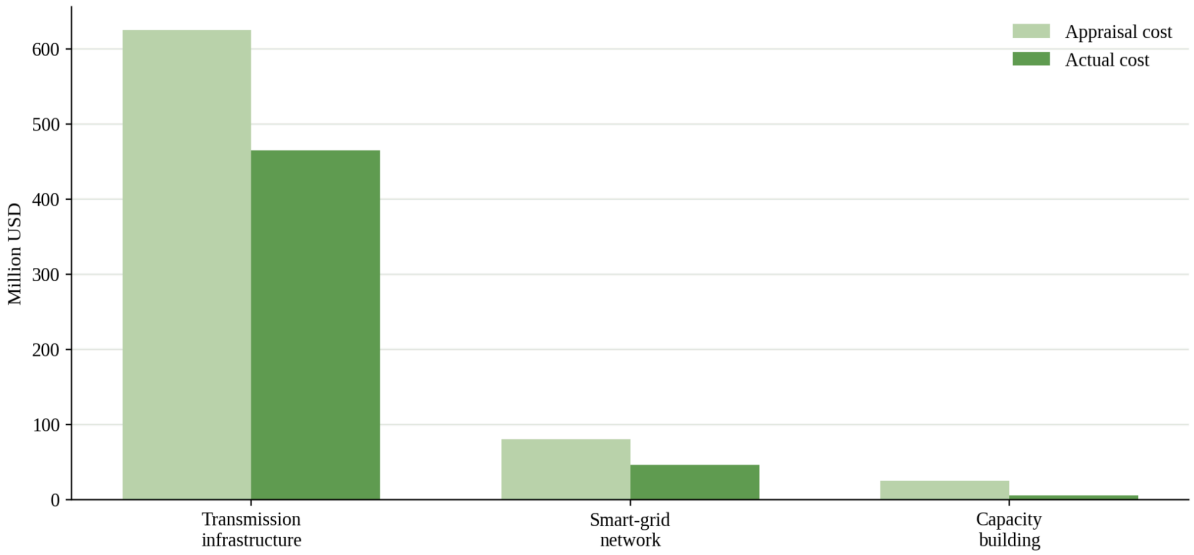
Source: Adapted from World Bank (2022a, Annex 3, Table 3.2, p. 49). IBRD component allocations and actual costs are taken from the original table.

Figure 1. TEP financing structure: committed/appraised resources versus actual closing expenditure (million USD)



Source: Chart prepared by the authors using data from World Bank (2022a, Annex 3, Table 3.2). Actual expenditure is not equivalent to contractual loan availability.

Figure 2. TEP expenditure by investment component at appraisal and at closing (million USD)



Source: Chart prepared by the authors using data from World Bank (2022a, Annex 3, Table 3.1). The USD 1.25 million front-end fee is excluded from the three component bars but included in total project costs.

The closing accounts record USD 289.03 million of IBRD financing for transmission infrastructure and USD 28.01 million for smart-grid works. The capacity-building component was financed overwhelmingly from counterpart

resources: USD 5.50 million of its USD 5.74 million actual cost came from the borrower, compared with only USD 0.24 million from the IBRD loan. Thus, describing all institutional activities as "IBRD-financed training" would incorrectly attribute borrower-funded expenditure to the Bank [41].

Financing was accompanied by contractual disciplines. The Bank's IPF arrangement linked eligible expenditure to procurement, financial management, technical supervision and social and environmental obligations. IEG found that competitive bidding under the Bank's procurement guidelines generated savings and that NPT's regional project boards benefited from previous implementation experience. At the same time, the conditions attached to reallocation of loan savings reduced flexibility to redirect funds to additional works during the project [37, pp. ix–xi, 17].

3.2.3. Project implementation: technical support and capacity building

The third component was intended to strengthen NPT's transition towards a more capable and commercially sustainable transmission utility. At design stage, it comprised four strands: an asset management system (AMS), assistance on cost-reflective transmission tariffs, improvement in financial reporting under International Financial Reporting Standards (IFRS), and improvements to the electrical testing laboratory. The project's financing and implementation experience, however, was considerably narrower than this original list suggests [44; 41; 37].

The IBRD contribution ultimately concentrated on the AMS. That system became fully operational and was used to inform investment and maintenance decisions by assessing the balance among costs, benefits and technical risks. The remaining tariff, IFRS and laboratory activities were largely taken forward using NPT/EVN resources, while an originally envisaged upgrade of the operations and equipment information system was cancelled. The metering/data-system activity was also funded from the counterpart side. In interpreting the outcome, these financing changes should be treated as substantive modifications to the original division of responsibilities, not as evidence that all activities were completed with IBRD money [41, Annex 3; 42, pp. 2–3].

Table 13. Selected institutional and digital systems activities under TEP

Workstream	Original purpose	Position by project closing
Asset management system (AMS)	Data-supported maintenance and capital-investment decisions	Operational; actual subcomponent cost USD 2.24 million, including USD 0.24 million IBRD
Cost-reflective transmission tariff	Support financial sustainability and tariff-related analysis	USD 0.20 million actual cost; financed by NPT/borrower
IFRS-related reporting capacity	Improve financial reporting and governance	USD 0.30 million actual cost; financed by NPT/borrower
Electrical testing laboratory	Improve capacity for specialised testing	Partial upgrade; USD 3.00 million actual cost; financed by NPT/borrower
Operation/equipment information system (Component 2)	Upgrade related digital management information	Cancelled after existing system judged adequate

Source: Authors' synthesis of World Bank (2022a, Annex 3, Table 3.2, p. 49) and World Bank (2022b, pp. 2-3).

The project also operated as a learning platform for regional project management boards. IEG's 2023 field assessment reported accumulated capabilities in procurement, contract administration, financial management, quality assurance, monitoring and reporting, and safeguards. These gains should be interpreted as institutional capacity supported partly through TEP and partly through prior World Bank and other donor operations; the evaluation does not provide a separate training-participant count or a statistically identified contribution of TEP to staff skills. Reporting an invented number of trainees would therefore be inappropriate [37, pp. ix–x, 15–16].

Technology transfer proved to be a significant source of friction as well as a source of learning. The selection of smart-grid technology, approval of national technical arrangements and assessment of the implications of temporarily disconnecting substations took much longer than initially planned. IEG concluded that

more thorough advance preparation and regulatory coordination would have reduced the need for an extension of the project period [37, pp. x–xi].

3.2.4. Results and project outcomes

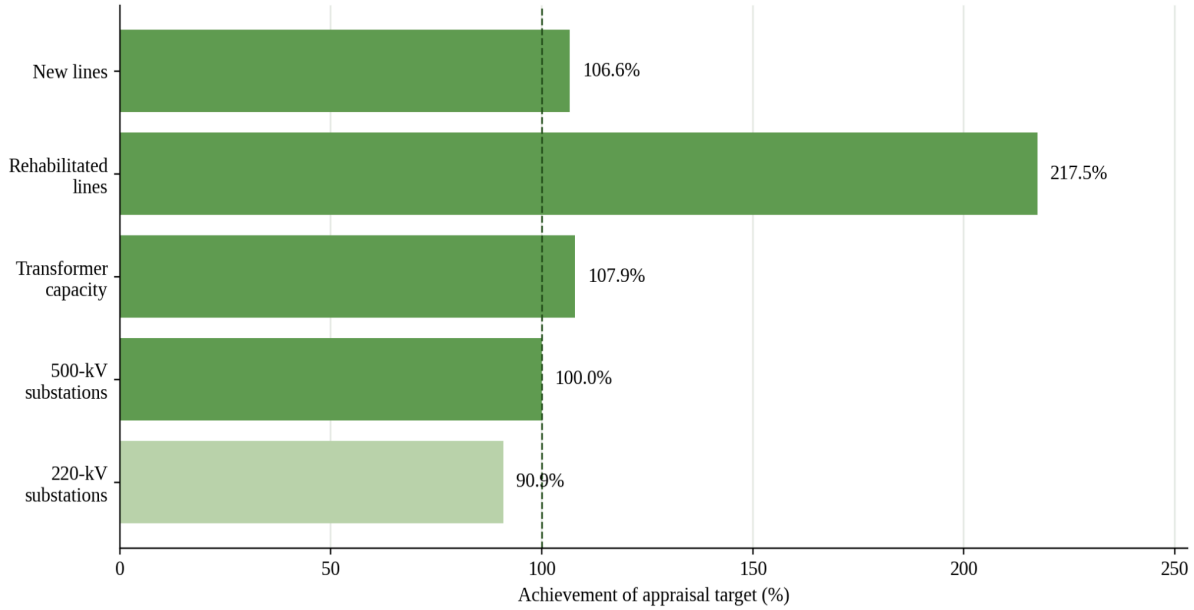
The evaluation record supports a favourable assessment of the main physical outputs. IEG reported 981 km of new high-voltage lines and 261 km of rehabilitated lines, against targets of 920 km and 120 km, respectively. A total of 4,263 MW of transformer capacity was installed against a target of 3,950 MW. Five 500-kV substations were upgraded with smart-grid technology, meeting the original target; the project achieved 10 of 11 targeted 220-kV upgrades. The omitted Ninh Binh upgrade was cancelled because that substation was scheduled for dismantling [42, pp. 2–3; 37, pp. viii–ix, 8].

Table 14. TEP selected physical outputs: original target and independently reported achievement

Indicator	Target	Actual	Achieved / target
New transmission lines	920 km	981 km	106.6%
Rehabilitated transmission lines	120 km	261 km	217.5%
Additional transformer capacity	3,950 MW	4,263 MW	107.9%
500-kV smart-grid substations	5	5	100.0%
220-kV smart-grid substations	11	10	90.9%

Source: World Bank (2023, pp. viii-ix, 8); achievement percentages calculated by the authors.

Figure 3. TEP output achievement relative to original results targets (%)



Source: Chart calculated by the authors from World Bank (2023, p. 8). A value of 100% means that the original output target was met, not that all project-wide economic benefits were realised.

IEG further reported that transmission capacity in the selected project areas had risen by almost 80% by the closing date and by 85.6% relative to the project baseline by March 2023, following completion of remaining work. For the broader NPT system, electricity transmitted was 184.50 TWh in 2018, 200.86 TWh in 2021 and 211.47 TWh in 2022. The latter national-level series is useful contextual evidence of system development, but should not be presented as a measure of electricity supplied solely because of TEP [37, pp. viii–ix, 8–9].

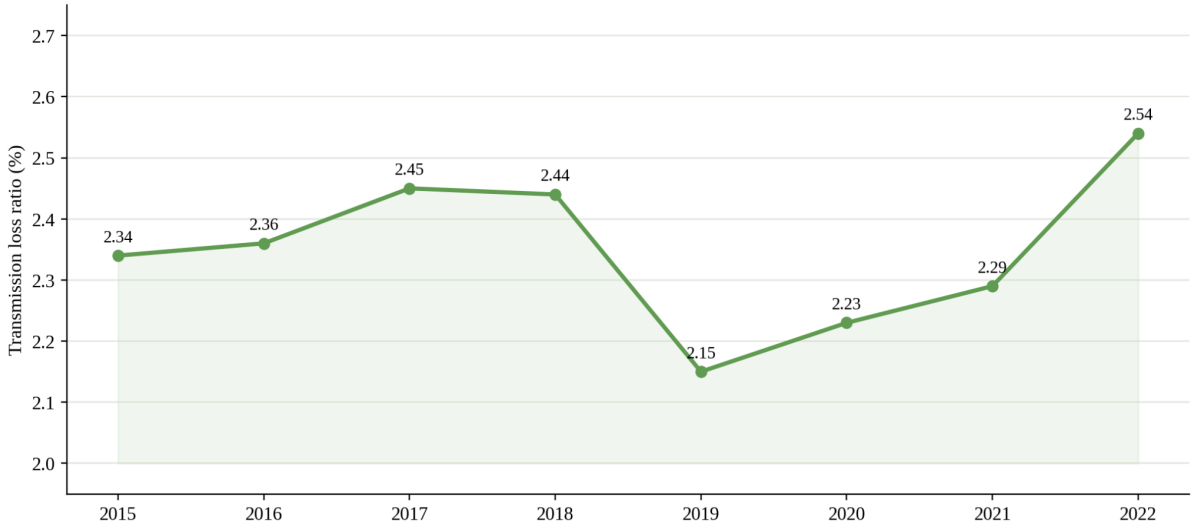
Operational-efficiency indicators were also encouraging at closure. Average operation and maintenance expenditure per MWh transmitted fell from USD 0.87 at baseline to USD 0.67 in 2021, compared with a target of USD 0.83. The amount of unserved energy associated with transmission-system failures declined from 4,875 MWh at the end of 2012 to 817 MWh at closure. Average interruption duration and frequency decreased between 2018 and 2021. These indicators are consistent with improved asset operation and system reliability, although the IEG assessment explicitly warns that several performance measures relate to the entire grid and cannot be isolated to project sub-areas [37, pp. 9–11].

Table 15. Selected system-level service and efficiency indicators around TEP completion

Indicator	Earlier observation	Later observation	Interpretation / scope
O&M cost per energy transmitted	USD 0.87/MWh (baseline)	USD 0.67/MWh (2021 and 2022)	Lower unit costs; NPT-wide
Unserved energy caused by transmission failures	4,875 MWh (2012)	817 MWh (2021)	Large reduction; system indicator
Avg. interruption duration per customer	724.28 min (2018)	356.12 min (2021)	Improved reliability indicator
Avg. interruption frequency per customer	4.97 times (2018)	3.11 times (2021)	Improved reliability indicator
Transmission losses	2.34% (2015)	2.29% (2021); 2.54% (2022)	Improved by closing then worsened

Source: Authors' compilation from World Bank (2023, pp. 9-11, Tables 2.2-2.3; underlying EVN data).

Figure 4. Vietnam's electricity transmission loss ratio, 2015-2022 (%)



Source: Chart prepared by the authors from World Bank (2023, Table 2.3, p. 11), which cites EVN as the underlying data source. The system-wide transmission loss ratio is not a TEP-only impact estimate. The IEG executive summary reports 2.50% for 2022, whereas Table 2.3 reports 2.54%.

The post-completion trend limits a simplistic success narrative. Transmission losses fell to 2.15% in 2019 but subsequently rose to 2.29% in 2021 and 2.54% in 2022. IEG linked the more recent increase to changes in grid flows associated with expanding wind and solar generation, congestion in the central and southern regions, and insufficient new transmission investment. At the same time, the number of 500-kV transmission-line faults fell from 42 in 2018 to 29 in 2022, while the corresponding 220-kV fault count rose from 135 to 159; therefore reliability improvements were not uniform across all indicators [37, pp. 11–13].

Renewable-energy integration should be treated with particular care. TEP's greater transfer capacity and digital substation controls improved the technical conditions for accommodating intermittent generation. IEG cites, among other examples, the Quang Ngai–Quy Nhon 220-kV line's contribution to better use of electricity from the Thuong Kon Tum hydropower plant. However, the evaluation does not quantify the additional megawatt-hours of solar or wind power integrated solely as a result of TEP. The same assessment documents continued curtailment and congestion as the supply mix changed. Accordingly, the defensible conclusion is that TEP supported the network's capability to integrate renewables, not that it eliminated renewable curtailment or achieved a verified numerical increase in renewable generation [37, pp. 8–13].

The World Bank's 2022 completion report re-estimated an aggregate economic internal rate of return (EIRR) of 52.6%, compared with 31.4% in its appraisal economic analysis, with an economic net present value of around USD 1,089 million at the assumed 10% discount rate. These estimates are results of a cost-benefit model and not an observed cash return to IBRD or a guaranteed financial rate of return for NPT. The ICR associated the higher re-estimated EIRR partly with substantially lower capital cost; the results are sensitive to the analytical assumptions, including the monetary value assigned to avoid supply interruptions [41, Annex 4].

3.2.5. Implementation challenges and financing limitations

The distinction between the approved loan and actual IBRD-financed expenditure is central to the financing evaluation. Against the USD 500.00 million

original commitment, the closing accounts report IBRD disbursement of USD 318.53 million, or 63.7% of the original amount. The arithmetic difference is USD 181.47 million (36.3%). Meanwhile, actual total project cost was USD 517.53 million, USD 213.72 million below appraisal. The original counterpart allocation of USD 231.25 million and the final amount of approximately USD 199.00 million are also different [41, Annex 3; 37, p. v].

The size of the unused envelope should not automatically be labeled an implementation failure. Lower steel prices, competition in procurement and reductions in planned activities all contributed to the smaller financing requirement. IEG specifically refers to approximately USD 160 million of loan savings cancelled at closure; this is a reported cancellation figure, not a substitute for the USD 181.47 million calculated difference between the original commitment and actual disbursement. Those two numbers describe different accounting concepts and should not be treated as interchangeable without a full reconciliation of loan-account transactions [37, pp. x, 17].

Table 16. TEP financing gap: definitions and derived comparisons (million USD)

Measure	million USD	Meaning
IBRD amount committed at appraisal	500.00	Original approved financing envelope
IBRD amount actually disbursed	318.53	World Bank financing used through project closing
Commitment minus disbursement	181.47	Derived arithmetic gap: 36.3% of commitment
Loan savings reported cancelled by IEG	~160.00	Separate approximate cancellation figure in IEG assessment
Total project cost at appraisal	731.25	Initial budget; includes fee
Total actual project cost	517.53	Closing expenditure
Appraisal minus actual project cost	213.72	Derived reduction in overall project cost (29.2%)

Source: Authors' compilation and calculations from World Bank (2022a, Annex 3, Table 3.2) and World Bank (2023, pp. v, x, 17).

The schedule overrun was more directly connected to implementation shortcomings. The selection and regulatory approval of smart-grid technology, including concerns about taking substations offline during upgrades, required roughly four years; Component 2 had made little progress by the 2019 restructuring. Some line and substation works were also delayed by bidding-related processing and compensation and land acquisition. The project therefore closed two years later than originally planned. The independent assessment nevertheless rated the overall outcome highly satisfactory because the principal capacity, efficiency and reliability objectives were substantially achieved [42, pp. 3, 12; 37, pp. x–xi, 17–18].

Environmental and social issues remained material. The independent assessment records approximately 2,500 affected households, including 80 relocated households, and notes unresolved compensation or resettlement cases subject to post-closure follow-up. This evidence supports a differentiated assessment: the project's engineering and economic results were strong, while safeguards, land access and inter-agency coordination caused important administrative costs. Progress on physical outputs alone did not resolve these institutional constraints [37, pp. x–xi, Appendix B].

Finally, sustainability depends on factors outside the project boundary. IEG warned that NPT's ability to maintain and expand the network would depend on more adequate transmission tariffs and timely subsequent capital investment, particularly as variable renewable generation expanded. Thus the TEP experience illustrates the complementary role of finance, technical assistance and managerial capacity, but also the limits of project-specific investment when national network planning and tariffs lag demand and generation growth [37, pp. 18–20].

3.2.6. Overall assessment of the TEP case

TEP shows how a sovereign IBRD investment loan can combine high-voltage capital expenditure with technology modernization and targeted institutional development. Its strongest demonstrable achievements were in physical outputs and improved operating indicators. It also delivered a useful reduction in measured capital costs relative to the appraisal budget. These strengths should be weighed against the

lengthy smart-grid preparation process, the large difference between loan commitment and final disbursement, the concentration of capacity-building costs on the counterpart side, and continuing sector-wide network constraints.

For the broader research question, three conclusions follow. First, IBRD participation existed alongside IDA before the 2017 graduation date and cannot be treated as a purely post-IDA arrangement. Second, the financing mechanism should be evaluated using both approved and disbursed funds, with borrower expenditure shown separately. Third, the project's successful outputs do not establish that all subsequent improvements in Vietnam's transmission system, or the integration of a specific quantity of renewable generation, were caused by TEP. These distinctions make the case study an evidence-based foundation for the comparison with the urban and environmental project in Section 3.3.

In the next case study, the Coastal Cities Sustainable Environment Project is examined as a contrasting urban and environmental operation. Whereas TEP relied on a large IBRD loan and was implemented through NPT, CCSEP combined IBRD and IDA financing with decentralized provincial implementation. The comparison therefore highlights how funding structure, counterpart obligations and institutional capacity influence implementation across sectors.

3.3. Case study 2: Coastal Cities Sustainable Environment Project (CCSEP), urban and environment sector

3.3.1. Project overview

In the 2010s, rapid urbanization, combined with limited financial resources in a lower-middle-income economy, placed severe strain on technical infrastructure systems and environmental sanitation services in Vietnam. At that time, only about 10% of urban wastewater was treated, and combined drainage systems frequently overflowed during the rainy season, discharging untreated wastewater onto the streets and beaches of coastal cities. The sector's investment requirement was estimated at around USD 771 million per year, while expected funding covered only about 27% [33]. Facing this gap, the project required long-term capital from the World Bank,

combining an IBRD loan with IDA concessional credits to provide provinces with sufficient upfront investment capital.

Against this backdrop, the Vietnam Coastal Cities Sustainable Environment Project (CCSEP, P156143) was appraised by the World Bank in April 2017 under the Investment Project Financing mechanism. It continued the earlier Coastal Cities Environmental Sanitation Project (CCESP, 2007–2014) in Dong Hoi, Quy Nhon and Nha Trang, while expanding to Phan Rang–Thap Cham. The project was approved by the World Bank on 5 May 2017; the financing agreement was signed on 27 October 2017 and became effective on 18 January 2018. According to the appraisal schedule, the project was planned to run from 5 May 2017 to 30 June 2022, with loan closing on 31 December 2022. However, this deadline was later extended, and the loan officially closed on 30 June 2024. The total project cost at appraisal was USD 273.6 million. The borrower was the Government of Vietnam, the World Bank served as the financier, and implementation was decentralized to the four provinces of Quang Binh, Binh Dinh, Khanh Hoa and Ninh Thuan through Project Management Units (PMUs) under the direction of provincial People's Committees [33; 43].

Table 17. Planned and actual project implementation timeline

Milestone	Planned	Actual
Approval	5/5/2017	5/5/2017
Agreement signing	-	27/10/2017
Effectiveness date	3/8/2017	18/1/2018
Implementation start	5/5/2017	18/1/2018
Implementation end	30/6/2022	-
Loan closing	31/12/2022	30/6/2024

Source: projects.worldbank.org

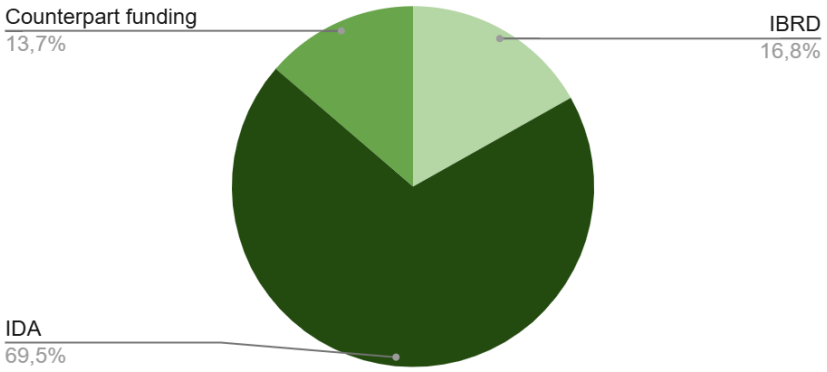
The project development objective was to increase access to sanitation services and improve the operational efficiency of service providers in the four project cities. This objective was pursued through infrastructure investments including flood control, wastewater collection and treatment, solid waste management and urban connectivity, alongside institutional reforms under Decree No. 80/2014/ND-CP [56], comprising performance-based service contracts and cost-reflective service tariff roadmaps.

Expected outcomes were measured by three main indicators: approximately 290,000 direct beneficiaries, 256,000 people gaining access to sanitation via household sewer connections, and a 100% service cost recovery level [33].

3.3.2. Project components and financial structure

CCSEP was designed as an Investment Project Financing operation, financing specific investment items rather than policy reforms or results, as the other two instruments do [33, Data Sheet]. Total project cost at appraisal was USD 273.6 million, of which World Bank financing was USD 236.2 million (86.3%) and counterpart funding from Vietnam was USD 37.4 million (13.7%) [33, Data Sheet, para. 43]. The World Bank portion was a blended financing package: an IBRD loan of USD 46 million (16.8%) alongside an IDA credit of USD 190.2 million (69.5%) [33, para. 66]. This combination reflected Vietnam's status at the time as a lower-middle-income country on blend terms, shortly before its IDA graduation [33, paras. 1, 44].

Figure 5. Project financing structure as planned at appraisal

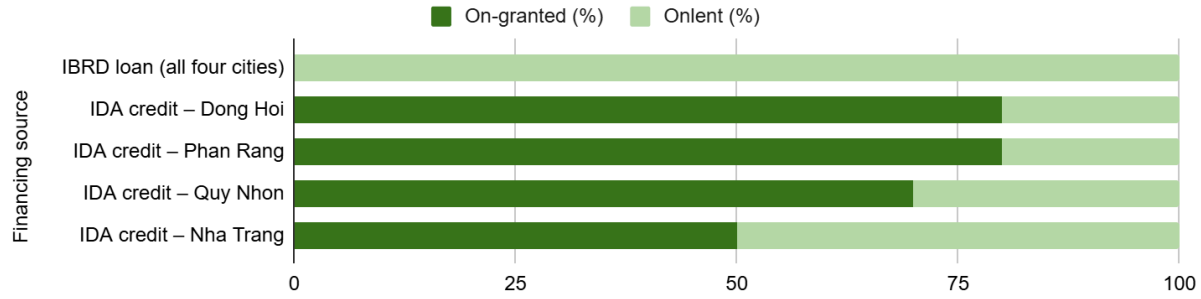


Source: projects.worldbank.org

The terms of the two financing sources differed significantly. The IBRD loan was denominated in USD, with a floating interest rate then based on LIBOR, a 29-year maturity including a 10-year grace period, and equal principal repayments. The IDA credit was denominated in SDR, with a 25-year maturity including a 5-year grace period, an interest rate of 2% per annum (0.75% service charge and 1.25% interest), a commitment fee of 0.5% per annum, and no front-end fee [33, para. 44]. Under the Government's ODA on-lending policy, the entire IBRD loan was on-lent to the four provinces, whereas the IDA credit was split into on-granting and on-lending

portions depending on the economic conditions of each province: 80% on-granted to Dong Hoi and Phan Rang, 70% to Quy Nhon, and 50% to Nha Trang [33, para. 45]. As a result, approximately 49.1% of the total project cost was on-granted to local authorities, 37.2% was on-lent, and 13.7% was counterpart funding [33, Annex 5, Table 5.1]. For the provinces, the on-lent funds, namely the entire IBRD loan and about 29.4% of the IDA credit (about USD 101.8 million in total), represented genuine debt service obligations. The PAD warned that the project would significantly increase the debt burden of all four provinces, with Binh Dinh projected to slightly exceed its debt ceiling during 2018–2021 [33, paras. 66, 75–76, Annex 5].

Figure 6. Share of on-granting and on-lending by financing source



Source: projects.worldbank.org

The project comprised four components. Component 1 (Sanitation Infrastructure Expansion, USD 140.7 million base cost) included flood control works, drainage and wastewater collection networks, wastewater treatment plants, school and public sanitation facilities, revolving funds for household connections, and solid waste management [33, para. 31]. Component 2 (Urban Connectivity Improvement, USD 31.2 million) constructed over 7 km of roads and 5 bridges along canals and rivers to alleviate traffic congestion while sharing corridors with drainage works [33, paras. 20, 33]. Component 3 (Compensation and Site Clearance, USD 25.1 million) covered compensation, land acquisition and resettlement costs [33, para. 34]. Component 4 (Implementation Support and Institutional Reform, USD 11.7 million) focused on capacity building for PMUs and supporting the implementation of Decree No. 80/2014/ND-CP regarding service contracts, cost-reflective tariff roadmaps and connection policies [33, para. 35]. Notably, each financing source was linked to specific components. IBRD funds fully financed Component 2, the IDA credit financed Component 1 and the technical infrastructure of the resettlement site in Phan

Rang under Component 3, while counterpart funding covered compensation, site clearance, resettlement and the entirety of Component 4 [33, para. 34, Annex 2 Table 2.1, Annex 5 Table 5.2].

Table 18. Project components and financing sources (base cost, million USD)

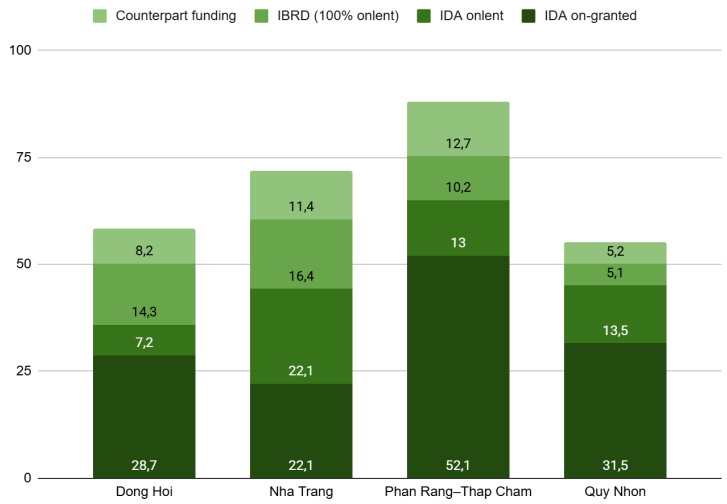
Component	Total	IDA	IBRD	Counter part funding
1. Sanitation Infrastructure Expansion	140,7	140,7	-	-
2. Urban Connectivity Improvement	31,2	-	31,2	-
3. Compensation and Site Clearance	25,1	3,4	-	21,7
4. Implementation Support and Institutional Reform	11,7	-	-	11,7
Total Base Cost	208,7	144,1	31,2	33,4

Source: projects.worldbank.org

Note: The table shows base costs only. The difference from the total project cost comes from contingencies (USD 37.9 million), VAT (USD 22.3 million), and capitalized fees and interest (USD 4.8 million), which are also financed by the three sources. This is why the IBRD total is USD 46.0 million, against USD 31.2 million of base cost for Component 2 (World Bank, 2017, Annex 2, Table 2.1). Minor differences in totals are due to rounding in the PAD.

Funds were allocated across the four cities at varying scales. Phan Rang–Thap Cham received the largest share (USD 87.9 million), followed by Nha Trang (USD 72.0 million), Dong Hoi (USD 58.4 million) and Quy Nhon (USD 55.3 million) [33, Annex 2, Tables 2.2–2.5]. Phan Rang was a new participating locality with its own dedicated resettlement site, and its PMU managed the largest investment program among the four cities [33, paras. 34, 63]. Under the IBRD portion, Nha Trang (USD 16.4 million) and Dong Hoi (USD 14.3 million) received the largest allocations, corresponding to major roads and bridges under Component 2 in these two cities [33, para. 46, Table 1].

Figure 7. Sources of funding by city (million USD)



Source: projects.worldbank.org

Disbursement mechanisms were decentralized to each province. Each province opened a designated USD account at a commercial bank, with ceiling amounts adjusting based on three-month financial forecasts [33, Annex 3, para. 21]. The project used four disbursement methods: advances, reimbursements, special commitments and direct payments [33, Annex 3, para. 22]. The World Bank financed 100% of eligible expenditures, including taxes, for goods, works and consulting services, while counterpart funding covered compensation, resettlement, project staff salaries, incremental operating costs, training and workshops [33, Annex 3, para. 24]. Fund withdrawals were subject to three conditions: approval of on-lending agreements by the Ministry of Finance and provincial governments, approval of counterpart funding allocations by provincial People's Committees, and approval of wastewater tariff roadmaps by provincial People's Committees [33, Data Sheet, para. 62]. This indicates that from the design stage, World Bank disbursements were closely tied to local financial commitments and institutional reforms.

The capital structure outlined above was the plan at the time of appraisal. During implementation, this structure was adjusted to reduce loan capital and increase counterpart funding. On 23 November 2022, at the request of the borrower, the World Bank cancelled USD 11.8 million of IBRD funding and approximately USD 34 million of IDA funding (SDR 25.592 million). The reasons given were savings after the bidding process, changes in the source of payment for IBRD fees and interest as

stipulated by the Government, and the depreciation of the SDR, while the project scope remained unchanged [43].

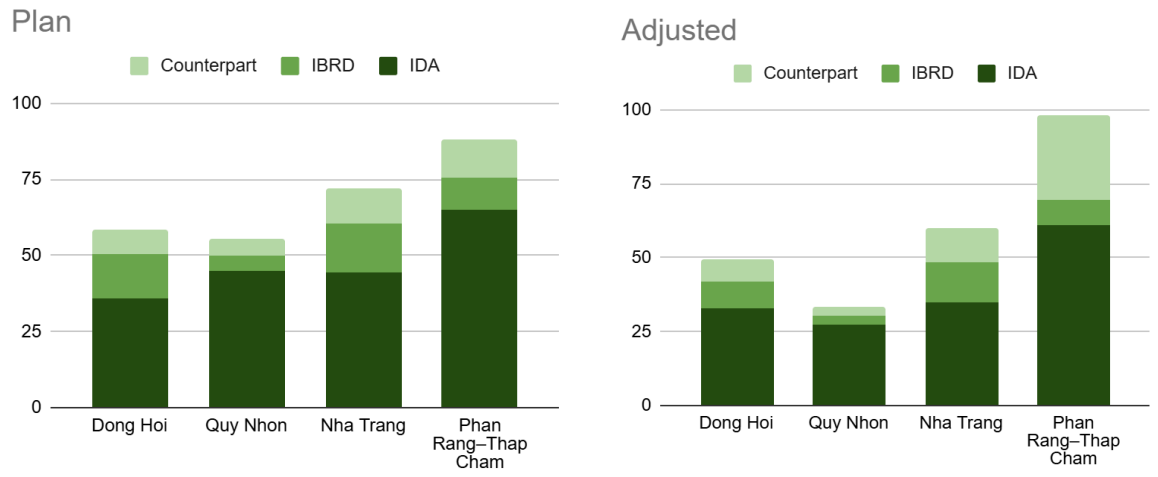
Table 19. Funding structure: plan vs. adjusted (million USD)

Funding source	Appraisal		Adjusted		Difference
	Amount	Share	Amount	Share	
Total WB financing	236,2	86,33%	190,6	79,22%	45,6
IBRD	46	16,81%	34,2	14,21%	11,8
IDA	190,2	69,52%	156,4	65,00%	33,8
Counterpart funding	37,4	13,67%	50	20,78%	-12,6
Total project cost	273,6	100,00%	240,6	100,00%	33

Source: projects.worldbank.org

The total loan capital therefore decreased from USD 236.2 million to USD 190.6 million, and the total investment decreased from USD 273.6 million to USD 240.6 million. Counterpart funding increased from USD 37.4 million to USD 50.0 million, raising its share from 13.7% to 20.8% [33, Annex 2; 43]. Adjustments varied among cities. Quy Nhon saw the sharpest decrease, from USD 55.3 million to USD 33.2 million, while Phan Rang–Thap Cham was the only city to increase, from USD 87.9 million to USD 97.9 million, with counterpart funding increasing from USD 12.7 million to USD 28.4 million. The adjusted figures represent adjusted commitments, not disbursed amounts.

Figure 8. Total funding by city: plan vs. adjusted (million USD)



Source: projects.worldbank.org

3.3.3. Project implementation

The project implementation process was slower than planned in terms of both timeline and disbursement. The financing agreement became effective on 18 January 2018, about five and a half months behind the original schedule of 3 August 2017, and the loan closing date had to be extended by 18 months, from 31 December 2022 to 30 June 2024 (Table 3.3.1.1) [33; 55; 43]. Disbursement lagged even further behind. The PAD projected a cumulative disbursement of USD 212.3 million by the end of FY2022; however, by late 2022 the IBRD had disbursed only USD 16.47 million and IDA USD 68.34 million, totalling approximately USD 84.8 million, equivalent to 36% of the original loan capital. The root cause of this delay was counterpart funding: budget allocations were made only from July 2019, resulting in zero disbursement in 2017 and 2018, while compensation, site clearance and contractor capacity issues continued to slow progress in subsequent years. Although signed contracts reached USD 160.9 million, physical construction volume accounted for only about 45% of total contract value [43]. Thus, World Bank capital was not lacking but could not be disbursed because of bottlenecks in counterpart funding and contract execution. The actual figures in this section are as of 31 October 2022, the restructuring date, as the project completion report has not yet been published.

Table 20. Planned and actual project implementation timeline

Milestone	Planned	Actual
Approval	5/5/2017	5/5/2017
Agreement signing	-	27/10/2017
Effectiveness date	3/8/2017	18/1/2018
Implementation start	5/5/2017	18/1/2018
Implementation end	30/6/2022	-
Loan closing	31/12/2022	30/6/2024

Source: projects.worldbank.org

Technical support. The project was classified as Category A for environmental and social safeguards, subject to the involuntary resettlement policy OP 4.12 and procurement under World Bank guidelines [33]. The World Bank provided support through appraisal, periodic supervision, progress ratings and restructuring decisions as

needed. At the end of 2022, implementation progress was rated Moderately Satisfactory, but the likelihood of achieving the development objective was downgraded to Moderately Unsatisfactory. Procurement, financial management and safeguards were all rated Moderately Satisfactory, and legal covenants were fully complied with [43]. The project was delayed by a combination of factors: slow site clearance and compensation, particularly in Nha Trang and Phan Rang; weak consultant and contractor capacity; major storms in 2020; the COVID-19 pandemic in 2020–2021; and weak contract management reflected in delayed contract extensions, payments and completion certificates.

Component 3 on resettlement experienced the most significant bottlenecks. The PAD estimated 1,486 affected households, of which 329 required relocation [33]. In reality, in Nha Trang, the Ngoc Hiep resettlement site was only in phase 1 of construction, and only 160 out of 585 compensation plans had been approved. A third of the approved plans were rejected by residents, causing construction to halt on most Component 2 contracts. Consequently, package NT-2.1 was partially cancelled and NT-2.2 was completely cancelled, reducing the number of affected households by approximately 35% and relocated households by about 43%. In Phan Rang, the Phan Dang Luu resettlement site was completed, with 1,400 out of 1,586 compensation plans approved, while Dong Hoi and Quy Nhon largely completed their resettlement activities [43].

Table 21. Progress on key performance indicators as of 31/10/2022

Indicator	Target (PAD)	Actual	Ratio
Direct beneficiaries	290.000	185.559	64%
People with access to sewer connections	256.000	97.400	38%
Cost recovery level	100%	98%	98%
Roads (km)	22	4,38	20%
Bridges	5	3	60%

Source: projects.worldbank.org

Training and capacity building. This area also revealed gaps between planning and implementation. Plans relied on PMUs inherited from the CCESP project, except for Phan Rang, which established a new PMU with 10 of its 12 staff transferred from

water-sector ODA units. This was accompanied by training in procurement, financial management and safeguards; internal audit teams; financial management manuals; governance and integrity action plans; and technical assistance from PPIAF (USD 350,000) and GIZ for institutional reform under Decree No. 80/2014/ND-CP. The goal was for each city to have a service management unit, and for the project to deliver 14 performance-based service contracts, 4 service tariff roadmaps and 4 connection policies [33].

In practice, PMU capacity remained a key cause of progress delays. After the restructuring, the World Bank recommended adding qualified staff, improving coordination between PMUs and provincial departments, amending contract terms with contractors and consultants, increasing supervision frequency, and holding monthly progress meetings alongside biweekly site clearance meetings [43]. Institutionally, Public Service Management Units (PSMUs) were established in each city. Drainage and wastewater assets were transferred to People's Committees, road assets to transport departments, connection policies and septic tank sludge management plans were issued, and tariff roadmaps were approved, though implementation levels varied by locality. Performance-based service contracts remained largely unexecuted, with the exception of the Nha Trang wastewater treatment plant. Training and institutional reform efforts thus largely stopped at the setup stage without becoming fully operational.

The three forms of support complemented one another but ran into the same bottleneck. World Bank funds were available but could not be disbursed while counterpart funding arrived late. Technical support helped identify resettlement risks early and address them through restructuring, but weak PMU capacity slowed compensation and contract management. Training bore fruit only when PMUs had enough staff and contracts were ready for implementation. By late 2022, the project had disbursed about 36% of its original loan capital, cancelled about USD 45.6 million, scaled back its scope in Nha Trang and needed an 18-month extension. The case also shows the limited weight of the IBRD within a blended package. The IBRD loan was only 16.8% of the planned cost (14.2% after adjustment) and fully financed

Component 2, while the larger IDA credit financed the sanitation infrastructure [33, Annex 2, Table 2.1; 43].

3.3.4. Results and challenges

The project loan closed on 30 June 2024, but to date an Implementation Completion and Results Report (ICR) has not been published. The information below therefore evaluates progress based on the latest publicly available data, mainly figures as of 31 October 2022 from the Restructuring Paper, supplemented by milestones for 2023–2025 from the Inspection Panel records.

On these figures, the project delivered tangible results in drainage and sanitation but remained well below its appraisal targets. As Table 3.3.3.1 shows, direct beneficiaries reached 64% of the target and sewer access only 38%, while cost recovery stood at 98% of the 100% target [33; 43]. Works in Dong Hoi and Quy Nhon were largely completed, while those in Nha Trang and Phan Rang remained incomplete because of resettlement delays. Disbursement continued to rise after the restructuring and, according to the Inspection Panel, stood at 57.43% in August 2023, when the request for inspection was received [57, paras. 6, 55]. This rate may be calculated on a different base from the 36% reported in Section 3.3.3, so the two figures are not directly comparable.

Regarding climate resilience, the PAD set a target to reduce flood risks for approximately 44,000 people and to construct 17 km of embankments, 22 km of roads and 5 bridges [33]. According to the latest published figures, only 4.38 km of roads and 3 bridges have been completed, while figures for embankments and the number of people with reduced flood risks are not yet publicly available. Flood reduction benefits are therefore currently demonstrated only through completed works, and full target achievement cannot yet be confirmed. More sustainable results lie in institutional capacity building. Each city established a PSMU; drainage and wastewater assets were handed over to local People's Committees; road assets were transferred to transport departments; household connection policies and septic tank sludge management plans were issued; and tariff roadmaps were approved [43]. The Nha Trang wastewater treatment plant was an exception, as it already operated under a

performance-based service contract. The 38% coverage rate indicates that the benefits of drainage infrastructure are fully realized only when networks and household connections are completed.

The single largest bottleneck was resettlement in Nha Trang, whose course is described in Section 3.3.3. Of the 585 households originally identified for compensation, only 160 had approved plans after the restructuring, and two work packages were delayed and then cancelled, so the works could not be completed within the project period [57, executive summary, paras. 10, 29]. The Management Response puts the number of households affected by project works in Nha Trang at about 464 [57, executive summary]. The land concerned comprises about 5 ha not yet acquired, about 6 ha acquired in 2018 and about 2.5 ha acquired in 2021 [57, paras. 11, 63]. World Bank Management cited "technical reasons" for the cancellations and stated that they would not affect achievement of the project development objective [57, paras. 49, 59].

This bottleneck later led to a formal complaint. According to a request submitted by 31 residents of Ngoc Hiep Ward to the Inspection Panel on 27 August 2023, residents faced land use and construction restrictions since 2016, inconsistent resettlement policies, inadequate land compensation prices, and security pressure due to police presence [57, paras. 13, 17, 19, 23]. These represent allegations by the complainants and do not constitute conclusions. World Bank Management reviewed 222 compensation plans and identified 19 non-compliant cases, which it referred to the PMU for correction in June 2023. Eighteen of them involved low land prices and were being revised. The compensation plan for the 5 ha area was officially revoked in late August 2023 [57, paras. 37, 40, 41]. The World Bank's Board of Executive Directors approved the investigation on 5 February 2024. The dispute resolution process concluded on 7 August 2025 without a signed agreement, producing only a confidential memorandum signed on 2 March 2025. As the complainants withdrew from the process, the case returned to the Inspection Panel, and no final findings have been issued to date [58].

Three direct causes lie behind these problems, as analyzed in Section 3.3.3: disagreements over land prices and compensation, which led one-third of the approved plans to be rejected; land-use restrictions imposed since 2016 without completed acquisition, which prolonged residents' waiting; and weak PMU capacity and coordination with provincial authorities, which delayed compensation and contract execution [43]. Resettlement was thus a precondition for the drainage infrastructure to operate, not an auxiliary component, and its delay carried over to sanitation and flood-control results, disbursement and contract schedules.

3.4.1. Achievements: financial mobilization, higher technical and management standards

Financial mobilization. IBRD loans gave Vietnam long-term capital on terms that domestic markets could not easily match. TEP received USD 500 million with a 26-year maturity and a 10-year grace period [21], and CCSEP's IBRD loan carried a 29-year maturity [33]. Both projects also mobilized counterpart resources: NPT committed USD 231.25 million to TEP, and CCSEP's counterpart share rose to 20.8% after restructuring. In TEP, competitive bidding under Bank rules lowered capital costs, so the same objectives were achieved with less borrowing [37].

Higher technical standards. TEP introduced smart-grid technology in five 500-kV and ten 220-kV substations and added 4,263 MW of transformer capacity. Operating costs per MWh fell from USD 0.87 to USD 0.67, and unserved energy dropped sharply [37]. CCSEP extended sewer networks and treatment capacity in four coastal cities that had treated only a small share of their wastewater.

Higher management standards. Both projects applied the Bank's procurement, financial management and safeguard rules, and their implementing units built skills in these areas. NPT's asset management system now supports investment and maintenance decisions. In CCSEP, the reforms under Decree No. 80/2014/ND-CP produced service management units, connection policies and tariff roadmaps, and cost recovery reached 98% [43]. These changes in institutions are likely to last longer than any single project.

3.4.2. Limitations: slow disbursement, procedural complexity, counterpart funding, gaps between WB safeguards and domestic regulations

Slow disbursement. Neither project used its loan as planned. TEP disbursed 63.7% of its IBRD commitment, although this partly reflected lower costs [41]. CCSEP disbursed nothing in 2017 and 2018 and only about 36% of its loan capital by late 2022 [43]. Because IBRD loans carry a commitment fee on undisbursed balances (Section 1.4.2), slow disbursement also raises the effective cost of borrowing.

Procedural complexity. Projects must satisfy both Vietnamese and World Bank procedures. In TEP, the choice and approval of smart-grid technology took about four years [37]. In CCSEP, the loan became effective five and a half months late, and three disbursement conditions depended on approvals by the Ministry of Finance and provincial People's Committees [33].

Counterpart funding. Domestic funding was often the binding constraint. CCSEP's provincial allocations began only in July 2019, which delayed the entire project [43]. In TEP, NPT financed almost all of the capacity-building component, USD 5.50 million of USD 5.74 million [41]. Where loans are on-lent, provinces also bear real debt, and the PAD warned that Binh Dinh could exceed its debt ceiling [33].

Gaps between World Bank safeguards and domestic regulations. Land compensation proved the most serious problem. In Nha Trang, only 160 of 585 compensation plans had been approved by late 2022, residents rejected a third of the approved plans, two work packages were cancelled, and residents filed a complaint with the Inspection Panel [43; 57]. TEP also affected about 2,500 households, with some cases still unresolved after closing [37]. Domestic land prices and procedures did not always meet the Bank's resettlement standards.

3.4.3. Recommendations for Vietnam

Vietnam's reclassification as an upper-middle-income economy in 2026 means that future World Bank borrowing will rely on IBRD terms [4]. Using this more expensive capital well requires changes on the domestic side, where the two cases show the main constraints lie.

1. **Prepare projects more fully before approval.** Technology choices, technical approvals and land acquisition plans should be settled before the loan is signed. TEP's four-year delay on smart-grid technology could have been shortened by earlier regulatory coordination [37]. A Project Preparation Advance can finance this work and be refinanced from the loan.
2. **Secure counterpart funding at the start.** Counterpart funds should be included in the medium-term public investment plan when the project is approved, not after effectiveness. Before on-lending to provinces, the Ministry of Finance should check each province's debt capacity, as the CCSEP PAD did for Binh Dinh.
3. **Align compensation with World Bank standards early.** For new projects under the ESF, land valuation, consultation and grievance mechanisms should meet ESS5 from the preparation stage. Independent land price valuation and early consultation with affected households would reduce the risk seen in Nha Trang, where disputes over prices led to cancelled contracts and a formal complaint.
4. **Strengthen and stabilize PMUs.** Experienced staff should be kept in professional PMUs that manage several projects over time, rather than in units created and dissolved with each loan. Training through the World Bank's Open Learning Campus should focus on contract management, procurement and safeguards.
5. **Streamline domestic procedures.** Under Decree No. 242/2025/ND-CP, approval steps for project proposals, investment decisions, on-lending and counterpart allocation should be shortened and scheduled to match the World Bank project cycle [53].
6. **Choose instruments strategically.** For reform programs with measurable results, Vietnam can consider PforR or DPF rather than relying only on IPF. Reimbursable Advisory Services can provide tailored advice where analytical support is needed outside a loan [36].

CONCLUSION

1. Summary of findings

1.1. Synthesizing the three pillars of IBRD support: finance, technical support and training

The IBRD is the World Bank Group's lender to middle-income and creditworthy poorer countries. It raises funds on capital markets on the strength of its AAA rating and lends them on long maturities through three instruments: IPF, DPF and PforR. Its support for project financing rests on three pillars. Finance pays for the investment through the project cycle and its disbursement methods. Technical support improves project design, policy and monitoring. Training and capacity building strengthen the people and institutions that carry out projects. These pillars work as one package, and each depends on the others.

1.2. Re-evaluating project impacts from the case studies

The two case studies show both the value and the limits of this package in Vietnam. TEP shows what IBRD financing can achieve with a capable implementer: transmission outputs exceeded their targets, operating costs fell, and IEG rated the outcome highly satisfactory. It also shows that a successful project may still disburse far less than its commitment. CCSEP shows the opposite side. Late counterpart funding, weak PMU capacity and resettlement disputes kept results well below targets and led to cancelled funds and a formal complaint. Across both cases, the binding constraints lay mainly on the domestic side rather than in the availability of IBRD money.

2. Significance of the paper

The paper brings together the IBRD's organization, lending terms and modes of support in one framework and applies that framework consistently to two Vietnamese projects. It distinguishes planned from actual financing and IBRD funds from IDA and counterpart funds, which avoids overstating the IBRD's contribution. Its findings

are relevant to Vietnam's new stage of borrowing after IDA graduation and its 2026 reclassification as an upper-middle-income economy.

3. Limitations of the research

The study relies on secondary data and could not verify results through field surveys or interviews. Many sources are prepared by the World Bank itself, although independent evaluations by IEG and the Inspection Panel were used where available. CCSEP has no published completion report, so its results are based on interim documents up to 2022–2025. Finally, two case studies cannot represent the whole IBRD portfolio in Vietnam, and system-wide indicators cannot be attributed to a single project.

4. Directions for further research

Future research could update the CCSEP assessment once its completion report is published. It could also study IBRD projects approved after IDA graduation, such as the Binh Duong water environment project and the southern waterway program. Comparing IBRD lending with that of other multilateral lenders in Vietnam, such as the Asian Development Bank, would show whether the same constraints apply. A quantitative study of disbursement delays across the portfolio could measure how much counterpart funding and land acquisition cost Vietnam in commitment fees and lost time.

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